

Oracle Fusion

SCM ERP

ERP & Fusion Foundation

What is ERP ?

- Central system to manage **finance + supply chain + HR**
- Single source of truth
- Integrated transactions

Central system to manage Finance + Supply Chain + HR

Oracle Fusion ERP is the central system that manages Finance, Supply Chain, and HR in one integrated platform.

Single source of truth

One centralized system where all business data is stored, updated, and accessed consistently.

ERP & Fusion Foundation

Integrated transactions - A transaction created in one module automatically impacts other modules without manual re-entry.

2. Oracle Fusion Overview

- Cloud ERP (SaaS)
- Modules: Financials, SCM, HCM, CX, EPM
- Role-based access
- Real-time accounting

ERP & Fusion Foundation

Cloud ERP (SaaS) - Cloud ERP (SaaS) is an ERP solution where the software is hosted by the vendor and accessed online on a subscription basis.

Cloud ERP is an ERP system that is:

- Hosted on the **cloud**
- Delivered as **SaaS (Software as a Service)**

Users access it through the **internet**, not local servers.

Oracle Fusion ERP = Cloud ERP (SaaS)

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Modules: Financials, SCM, HCM, CX, EPM

Oracle Fusion is divided into **5 major module pillars:**

Financials (Finance)

Purpose: Manage company money

Key areas:

- General Ledger (GL)
- Accounts Payable (AP)
- Accounts Receivable (AR)
- Assets
- Cash Management
- Expenses

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Example:

Supplier invoice → Accounting → Financial reports

Financials manage accounting, payments, assets, and financial reporting.

SCM (Supply Chain Management)

Purpose: Manage goods & services

Key areas:

- Procurement
- Inventory
- Order Management
- Manufacturing
- Logistics

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Example:

Requisition → Purchase Order → Receipt → Supplier payment

SCM manages the flow of goods from suppliers to customers.

HCM (Human Capital Management)

Purpose: Manage employees

Key areas:

- Core HR
- Payroll
- Talent Management
- Time & Labor
- Absence Management

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Example:

Hire employee → Payroll → Performance review

HCM manages employee lifecycle from hire to retire.

CX (Customer Experience)

Purpose: Manage customers

Key areas:

- Sales
- Service
- Marketing
- Field Service

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Example:

Lead → Opportunity → Sales → Customer support

CX manages customer interactions and sales processes.

EPM (Enterprise Performance Management)

Purpose: Plan & analyze business performance

Key areas:

- Budgeting & Planning
- Financial Consolidation
- Forecasting
- Profitability analysis

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Example:

Budget creation → Forecast → Variance analysis

EPM helps in planning, budgeting, and performance analysis.

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Role-Based Access

Users get system access **based on the roles assigned to them**, not individually.

Role-Based Access in Oracle Fusion

Oracle Fusion uses **RBAC (Role-Based Access Control)**.

A role defines:

- Which **pages** a user can access
- Which **transactions** they can perform
- Which **data** they can view or update

Types of roles in Oracle Fusion

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Job Roles

Based on **job responsibility**

Examples:

- Accounts Payable Manager
- HR Specialist
- Procurement Buyer

Duty Roles

Define **specific tasks**

Examples:

- Invoice Processing Duty
- Create Purchase Order Duty

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Data Roles

Control **data access scope**

Examples:

- HR Specialist – India
- AP Manager – Business Unit A

Abstract Roles

Provide **general system access**

Examples:

- Employee
- Line Manager

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Real-time accounting - **Accounting entries are created immediately when a business transaction occurs**, without waiting for batch jobs.

No delays. No end-of-day runs.

Real-Time Accounting in Oracle Fusion

In Oracle Fusion:

- Subledger transactions are **accounted instantly**
- Entries flow to **General Ledger (GL)** in near real time
- Uses **Subledger Accounting (SLA)** engine

ERP & Fusion Foundation

Example

Create a **supplier invoice**

→ Accounting entry created immediately

Post to **GL**

→ Ledger updated instantly

Finance sees the impact **right away**.

Enterprise & Org Structure

Enterprise

- Top-level container
- No transactions
- Used for statutory reporting

Enterprise - The highest-level organizational structure that represents the entire company.

What Enterprise represents

- The whole organization or group of companies
- The common identity for all operations
- The starting point for all setups

Enterprise & Org Structure

What is defined at Enterprise level

Enterprise is mainly **structural**, not operational.

You define:

- Enterprise name
- Enterprise ID
- Enterprise address
- Default settings (calendar, currency, etc.)

What Enterprise does NOT do

Enterprise:

- Does not process transactions

Enterprise & Org Structure

- Does not do accounting
- Does not own employees or inventory

That's why it's called a **container**.

Simple hierarchy view

Enterprise

| — Legal Entity

| | — Business Unit

| | — Transactions

Enterprise & Org Structure

Real-life analogy

Think of **Enterprise** as:

- A **corporate umbrella**
- Or a **folder** that contains all companies

You don't work in the folder — you work **inside what's in it**.

Enterprise & Org Structure

Top-level container - The **highest organizational level** that holds and connects all other structures.

Why Enterprise is called the Top-Level Container

Because it:

- Sits **above everything**
- Owns the overall identity of the organization
- Contains all:
 - Legal Entities
 - Business Units
 - Ledgers
 - Modules

But **does not process transactions itself**.

Enterprise & Org Structure

Structure view

Enterprise ← Top-level container

| — Legal Entity

| | — Business Unit

| | — Transactions

Enterprise & Org Structure

No transactions - Enterprise is only a structural container, not a transactional unit.

So at **Enterprise level**:

- No purchase orders
- No invoices
- No payments
- No journals
- No payroll

Where transactions actually happen

Transactions occur at **lower levels**, mainly:

Enterprise & Org Structure

- **Business Unit (BU)** → operational transactions
 - PO, invoices, sales orders, HR actions
- **Ledger** → accounting entries
- **Legal Entity** → statutory ownership & compliance

Simple hierarchy reminder

Enterprise → NO transactions



Legal Entity → Legal ownership & compliance



Business Unit → Transactions happen here



Ledger → Accounting

Enterprise & Org Structure

Used for statutory reporting - Statutory reporting is done at the Legal Entity level, not Enterprise and not Business Unit.

Why Legal Entity is used for statutory reporting

Because a **Legal Entity**:

- Is registered with government authorities
- Has its own:
 - Tax registration
 - PAN / GST / VAT (country-specific)
 - Legal name & address

Enterprise & Org Structure

- Is legally responsible for:
 - Financial statements
 - Tax filings
 - Compliance

Governments recognize **Legal Entities**, not BUs or Enterprises.

What kind of statutory reports

Examples:

- Balance Sheet
- Profit & Loss
- Tax returns (GST, VAT, TDS, etc.)
- Audit reports

All are prepared **per Legal Entity**.

Enterprise & Org Structure

Hierarchy view

Enterprise → Top-level container (NO reporting)

Legal Entity → Statutory & legal reporting

Business Unit → Transaction processing

Ledger → Accounting

Enterprise & Org Structure

4. Legal Entity

- Registered company
- Owns ledger
- Tax & compliance

Legal Entity - A legally registered organization that is recognized by government authorities and is responsible for statutory and tax compliance.

Key characteristics of a Legal Entity

A Legal Entity:

- Is registered with the government
- Has its own legal name & address
- Has tax registrations (GST, VAT, PAN, etc.)

Enterprise & Org Structure

- Can own assets and liabilities
- Is legally accountable for compliance

What Legal Entity is used for

- **Statutory reporting**
- **Tax registration & compliance**
- Legal ownership of transactions
- Audit and regulatory filings

What Legal Entity does NOT do

- Does not process day-to-day transactions
- Does not enter POs or invoices directly

(Transactions happen at **Business Unit** level.)

Enterprise & Org Structure

Relationship with other structures

Enterprise

└─ Legal Entity ← Statutory & legal responsibility

└─ Business Unit ← Transactions

└─ Ledger ← Accounting

Real-life example

ABC India Pvt Ltd

- Registered in India
- Files GST & Income Tax
- Prepares Balance Sheet & P&L

This is a **Legal Entity**

Enterprise & Org Structure

Relationship with other structures

Enterprise

└ Legal Entity ← Statutory & legal responsibility

└ Business Unit ← Transactions

└ Ledger ← Accounting

Real-life example

ABC India Pvt Ltd

- Registered in India
- Files GST & Income Tax
- Prepares Balance Sheet & P&L

This is a **Legal Entity** (If law is involved → Legal Entity)

Enterprise & Org Structure

Relationship with other structures

Enterprise

└ Legal Entity ← Statutory & legal responsibility

└ Business Unit ← Transactions

└ Ledger ← Accounting

Real-life example

ABC India Pvt Ltd

- Registered in India
- Files GST & Income Tax
- Prepares Balance Sheet & P&L

This is a **Legal Entity** (If law is involved → Legal Entity)

Enterprise & Org Structure

Registered company - In Oracle Fusion, a **Registered Company** is the same as a **Legal Entity**.

A **Legal Entity** is a company that is **legally registered with government authorities**.

Key points of a Registered Company

A registered company:

- Has a **legal registration**
- Has a **legal name & address**
- Has **tax registrations** (GST, VAT, PAN, etc.)
- Is recognized by law
- Is responsible for **statutory reporting & compliance**

Enterprise & Org Structure

What a Registered Company is used for

- Statutory financial statements
- Tax filings
- Audits & legal compliance

What it is NOT

- Not a Business Unit
- Not Enterprise
- Not a transaction-processing unit

Transactions still happen at **BU level**, but the **legal ownership** belongs to the Legal Entity.

Enterprise & Org Structure

Simple hierarchy reminder

Enterprise

└─ Legal Entity (Registered Company)

└─ Business Unit (Transactions)

Enterprise & Org Structure

Legal Entity - A Ledger is assigned to (owned by) a Legal Entity.

This means:

- All accounting entries in that ledger legally belong to the **Legal Entity**
- Financial statements produced from the ledger are **for that Legal Entity**

Why Legal Entity owns the Ledger

Because:

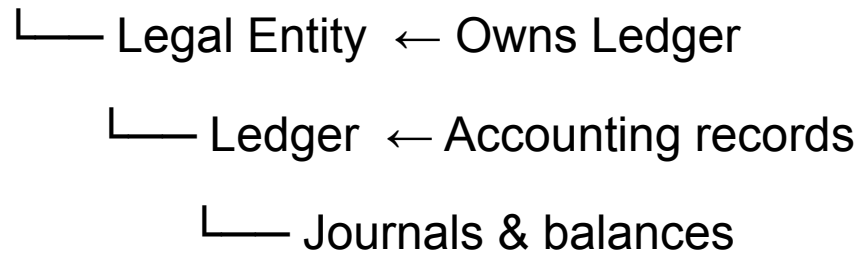
- Legal Entity is legally accountable
- Ledger contains statutory accounting data
- Government reports are filed per Legal Entity

So ownership must be with the **registered company**.

Enterprise & Org Structure

Relationship view

Enterprise



Enterprise & Org Structure

Tax & compliance - Tax registration and compliance are handled at the Legal Entity level.

Because only a **legally registered company** can:

- Register for tax
- File returns
- Face audits or penalties

What Tax & Compliance include

At the **Legal Entity** level:

- Tax registrations (GST, VAT, PAN, TIN, etc.)
- Statutory tax reporting

Enterprise & Org Structure

- Regulatory compliance
- Audit requirements

What level does NOT handle tax

- Enterprise — no tax identity
- Business Unit — operational only

Simple hierarchy reminder

Enterprise → Container

Legal Entity → Tax & Compliance 

Business Unit → Transactions

Ledger → Accounting

Enterprise & Org Structure

5. Business Unit (BU)

- **Transaction owner**
- Controls Procurement, OM, Inventory

Types:

- Procurement BU
- Inventory BU
- OM BU

Business Unit (BU) - The primary transaction-processing unit where day-to-day business activities are performed.

Enterprise & Org Structure

What happens in a Business Unit

Transactions are created and managed at BU level, such as:

- Purchase Requisitions & Purchase Orders
- Supplier Invoices
- Sales Orders
- Receipts & Shipments
- HR transactions

What a BU is NOT

- Not a legal company
- Not used for statutory reporting
- Does not own tax registrations

Enterprise & Org Structure

Those belong to the **Legal Entity**.

Why Business Units exist

BUs allow organizations to:

- Separate operations
- Control access (data roles)
- Manage regional or departmental transactions
- Share one Legal Entity across multiple operations

Relationship with Legal Entity

- One **Legal Entity** can have **multiple BUs**
- Each BU is assigned to **one Legal Entity**
- Transactions created in BU legally belong to that Legal Entity

Enterprise & Org Structure

Simple hierarchy view

Enterprise

└─ Legal Entity

└─ Business Unit (Transactions)

Real-life example

ABC India Pvt Ltd (Legal Entity)

- India Sales BU
- India Procurement BU
- India Services BU

All transactions belong to **ABC India Pvt Ltd**, but are processed by different BUs.

Enterprise & Org Structure

Simple hierarchy view

Enterprise

└─ Legal Entity

└─ Business Unit (Transactions)

Real-life example

ABC India Pvt Ltd (Legal Entity)

- India Sales BU
- India Procurement BU
- India Services BU

All transactions belong to **ABC India Pvt Ltd**, but are processed by different BUs.

Enterprise & Org Structure

Transaction owner - Transaction owner = Business Unit (BU).

The Business Unit is the owner of business transactions.

That means the BU:

- Creates transactions
- Manages them
- Controls operational processing

Examples of transactions owned by BU

- Purchase Orders
- Supplier Invoices
- Sales Orders
- Receipts

Enterprise & Org Structure

- HR actions
- All are **created and processed in a BU.**

Important distinction ⚠

- **BU owns the transaction**
- **Legal Entity owns the legal & accounting responsibility**
- **Ledger records the accounting**

Clear structure view

Enterprise

└─ Legal Entity ← Legal & tax ownership

└─ Business Unit ← Transaction owner ✅

└─ Ledger ← Accounting entries

Enterprise & Org Structure

Real-world example

Sales BU creates a Sales Order

- Sales BU owns the transaction
- Legal Entity is legally responsible
- Ledger records revenue

Enterprise & Org Structure

Controls Procurement, OM, Inventory - Business Unit controls Procurement, Order Management (OM), and Inventory operations.

All operational modules are driven by the **BU**.

What exactly BU controls

Procurement

- Purchase Requisitions
- Purchase Orders
- Supplier negotiations
- Receipts

Enterprise & Org Structure

Inventory

- Item transactions
- Stock receipts & issues
- Transfers
- On-hand balances

Order Management (OM)

- Sales Orders
- Order fulfillment
- Shipping
 - Billing triggers

Enterprise & Org Structure

Why BU controls these

Because BU is:

- The **transaction processing unit**
- Designed to handle daily operations
- Mapped to a Legal Entity for legal ownership

Important clarifications

- Legal Entity does NOT control Procurement or Inventory
- Enterprise does NOT control operations
- BU controls operational modules

Enterprise & Org Structure

Why BU controls these

Because BU is:

- The **transaction processing unit**
- Designed to handle daily operations
- Mapped to a Legal Entity for legal ownership

Important clarifications

- Legal Entity does NOT control Procurement or Inventory
- Enterprise does NOT control operations
- BU controls operational modules

Enterprise & Org Structure

Structure reminder

Enterprise

└─ Legal Entity ← Legal responsibility

└─ Business Unit ← Controls Procurement, OM, Inventory

Enterprise & Org Structure

Procurement BU - A Procurement Business Unit (Procurement BU) is a Business Unit set up to manage procurement operations such as requisitions, purchase orders, and supplier transactions.

It is a **type of BU specialized for Procurement**.

Key responsibilities of a Procurement BU

- **Purchase Requisitions (PR)** creation
- **Purchase Orders (PO)** management
- **Supplier setup & management**
- **Receipt of goods/services**
- Integration with **Accounts Payable** for invoices

Enterprise & Org Structure

Key responsibilities of a Procurement BU

- **Purchase Requisitions (PR)** creation
- **Purchase Orders (PO)** management
- **Supplier setup & management**
- **Receipt of goods/services**
- Integration with **Accounts Payable** for invoices

Relationship with Legal Entity

- Procurement BU belongs to **one Legal Entity**
- Legal Entity handles **tax & statutory compliance**
- BU handles **operational transactions**

Enterprise & Org Structure

Example

ABC India Pvt Ltd (Legal Entity)

- Procurement BU – India
 - Creates PR → PO → Goods Receipt
- Finance BU – India
 - Processes AP invoices & payments

All procurement transactions are **owned by the Procurement BU**.

Enterprise & Org Structure

Example

ABC India Pvt Ltd (Legal Entity)

- Procurement BU – India
 - Creates PR → PO → Goods Receipt
- Finance BU – India
 - Processes AP invoices & payments

All procurement transactions are **owned by the Procurement BU**.

Enterprise & Org Structure

OM BU (Order Management Business Unit) - An Order Management (OM) Business Unit is a BU set up to manage sales order processing and related customer transactions.

It is a type of BU specialized for Order Management operations.

Key responsibilities of an OM BU

- **Customer Orders:** Create and manage sales orders
- **Order Fulfillment:** Allocate inventory, schedule shipments
- **Billing:** Trigger invoices for delivered goods/services
- **Returns / Cancellations:** Process order adjustments

Enterprise & Org Structure

Relationship with Legal Entity

- OM BU belongs to **one Legal Entity**
- Legal Entity handles **tax & statutory compliance**
- OM BU handles **operational sales transactions**

Real-world example

XYZ India Pvt Ltd (Legal Entity)

- OM BU – India Sales
 - Receives customer orders
 - Allocates inventory from warehouses
 - Generates invoices after shipment

All sales order transactions are **owned by the OM BU**.

Enterprise & Org Structure

6. Inventory Organization

- Warehouse
- Holds stock
- Sub-inventory & locators

Inventory Organization - An Inventory Organization is a unit that represents a physical or logical location where inventory is stored, tracked, and managed.

It is **not a BU**, but it is linked to a **Business Unit**.

Key characteristics

- Holds **items / products**
- Tracks **on-hand balances**
- Supports **receipts, issues, and transfers**

Enterprise & Org Structure

- Linked to a **BU** (Procurement or OM BU)

Relationship with BU

- Inventory Organization belongs to a **Business Unit**
- BU controls transactions (e.g., receiving or shipping)
- Inventory Organization stores the physical goods

Real-world example

ABC India Pvt Ltd (Legal Entity)

- Procurement BU – India
 - Inventory Organization – Mumbai Warehouse
 - Inventory Organization – Delhi Warehouse

Each warehouse is an **Inventory Organization**, managing stock separately.

Enterprise & Org Structure

How Inventory Org fits in operations

Business Unit (Procurement/OM)

└─ Inventory Organization (Warehouse/Storage location)

└─ Items / Transactions

Key points to remember

- Each Inventory Organization must be **linked to a BU**
- BU **owns the transaction**, Inventory Org **stores/controls items**
- Supports **inventory valuation and reporting**

Enterprise & Org Structure

Warehouse - A Warehouse is a physical location where inventory is stored, managed, and tracked.

It is a **type of Inventory Organization or part of it**, depending on the setup.

Key characteristics

- Physical storage of goods
- Manages **receipts, shipments, and internal movements**
- Supports **lot/batch tracking, subinventories, and locations**
- Can be linked to **one or more Inventory Organizations**

Enterprise & Org Structure

Relationship with other structures

Business Unit (BU) → Owns transactions

└─ Inventory Organization → Manages stock

└─ Warehouse → Physical storage of items

Real-world example

ABC India Pvt Ltd (Legal Entity)

- Procurement BU – India
 - Inventory Organization – Mumbai Inventory
 - Warehouse – Mumbai Main Warehouse
 - Warehouse – Mumbai Secondary Warehouse

Each warehouse manages stock physically in its location.

Enterprise & Org Structure

Key points to remember

- Warehouse is **where inventory lives physically**
- Inventory Organization can contain **one or more warehouses**
- BU **owns transactions**, Warehouse **stores the stock**

Enterprise & Org Structure

Holds stock - A **Warehouse** is the physical location **where inventory items are stored** and managed.

It literally **holds the stock** until it is issued, shipped, or transferred.

How it works

- Warehouse belongs to an **Inventory Organization**
- Tracks **on-hand quantities**
- Supports **receipts, issues, and transfers**

Simple hierarchy

Business Unit → Inventory Organization → Warehouse → Holds Stock

Enterprise & Org Structure

Real-life example

ABC India Pvt Ltd (Legal Entity)

- Procurement BU – India
 - Inventory Org – Mumbai
 - Warehouse – Main Mumbai Warehouse → Holds 500 Laptops
 - Warehouse – Secondary Mumbai Warehouse → Holds 200 Laptops

Stock is physically stored in these warehouses.

Enterprise & Org Structure

Sub-inventory - A **Subinventory** is a logical division within a warehouse used to group inventory for management and tracking purposes.

Think of it as a **section or category inside a warehouse**.

Key characteristics

- Belongs to a **Warehouse**
- Can represent **storage type, department, or product category**
- Used to **control inventory transactions**
- Can have **different accounting or costing methods**

Enterprise & Org Structure

Example

Warehouse – Mumbai Main

- Subinventory – Raw Materials
- Subinventory – Finished Goods
- Subinventory – Spare Parts

All items stored in different Subinventories are **managed separately**.

Locators - A **Locator** is the **exact physical location inside a Subinventory** where an item is stored.

Think of it as the **rack, bin, or shelf** inside the Subinventory.

Enterprise & Org Structure

Key characteristics

- Belongs to a **Subinventory**
- Can have multiple locators per Subinventory
- Tracks **exact item quantity and location**
- Enables **fast picking and accurate inventory tracking**

Example

Subinventory – Raw Materials

- Locator A1 → 100 units of Item X
- Locator B3 → 50 units of Item Y

Enterprise & Org Structure

Hierarchy view

Business Unit → Inventory Organization → Warehouse → Subinventory → Locator → Stock

Key points to remember

- **Warehouse** = physical storage
- **Subinventory** = logical division inside warehouse
- **Locator** = exact bin/shelf in subinventory
- Used for **accurate inventory management and transaction control**

Product & Item Setup (HEART of SCM)

Product Information Management (PIM)

- Item master
- Item classes
- Categories
- UOMs

Item types:

- Raw material
- Finished goods
- Service

Product & Item Setup (HEART of SCM)

Item master - The **Item Master** is a centralized repository that contains **all information about inventory items** used across the organization.

Think of it as the **master record for every item** in Procurement, Inventory, and Order Management.

Key characteristics

- Central record for **all items**
- Defines **item attributes**:
 - Item name & number
 - Unit of measure
 - Costing method
 - Category & type (raw material, finished goods, service)
- Shared across **Business Units** and **Inventory Organizations**

Product & Item Setup (HEART of SCM)

- Controls **how items are transacted and tracked**

Example

Item: Laptop Model ABC123

- Item Number: LAP-ABC123
- Type: Finished Goods
- Unit of Measure: Each
- Costing: Standard Cost
- Category: Electronics

This **one record** is used for:

- Purchase Orders (Procurement BU)
- Receipts (Inventory Org)
- Sales Orders (OM BU)

Product & Item Setup (HEART of SCM)

Relationship view

Item Master → Used by → BU / Inventory Org / Warehouse / Subinventory

Why Item Master is important

- Ensures **data consistency** across modules
- Avoids duplicate item records
- Supports **accurate costing, inventory tracking, and reporting**

Product & Item Setup (HEART of SCM)

Item Classes - Item Classes are templates used to classify items and control which attributes are available for items.

They define **how items are structured and managed**.

Why Item Classes are used

Item Classes help to:

- Group similar items
- Control item attributes
- Apply rules and validations
- Simplify item creation

Product & Item Setup (HEART of SCM)

How Item Classes work

- Item Classes are arranged in a **hierarchy**
- Attributes are defined at **class level**
- Child classes inherit attributes from parent classes

Common Item Class hierarchy example

Root Item Class

├— Raw Materials

├— Finished Goods

├— Spare Parts

├— Services

Product & Item Setup (HEART of SCM)

Each class has different attributes.

Example

Finished Goods Item Class

- Track inventory = Yes
- Stockable = Yes
- Shippable = Yes
- Costing enabled

Service Item Class

- Track inventory = No
- Stockable = No
- Shippable = No

Product & Item Setup (HEART of SCM)

Relationship with Item Master

- Item Class controls **which attributes appear** in Item Master
- Item Master stores the **actual item data**

Key points to remember

- Item Class $\neq$ Item
- Item Class = structure/template
- Item = actual product or service

Product & Item Setup (HEART of SCM)

Categories - Item Categories are used to group items for reporting, accounting, and operational control.

How do we classify items for business use?

Categories vs Item Classes

Item Class	Item Category
Defines item structure	Used for grouping & reporting
Controls attributes	Controls analysis & accounting
Technical setup	Business classification
Mandatory during item creation	Assigned after item creation

Product & Item Setup (HEART of SCM)

Category Sets

Categories exist inside **Category Sets**.

Examples of Category Sets:

- Purchasing Category
- Inventory Category
- Cost Category
- Sales Category

An item can belong to **multiple category sets**, but **one category per category set**.

Product & Item Setup (HEART of SCM)

Example

Item: Laptop

Category Sets assigned:

- Purchasing Category → IT Equipment
- Inventory Category → Finished Goods
- Cost Category → Electronics

Same item, multiple business views.

Product & Item Setup (HEART of SCM)

Why Categories are important

- Procurement reporting
- Inventory valuation
- Cost accounting
- Spend analysis
- Controls approvals & accounting rules

Relationship view

Item Master

└─ Item Class → structure

└─ Categories → business classification

Product & Item Setup (HEART of SCM)

UOMs (Units of Measure) - UOMs define how an item is measured, bought, stored, and sold.

In what unit is this item handled?

Common UOM examples

- Each (EA)
- Kilogram (KG)
- Liter (LTR)
- Box (BOX)
- Pack (PK)
- Dozen (DOZ)

Product & Item Setup (HEART of SCM)

UOM Classes

UOMs are grouped into **UOM Classes**.

Examples:

- Quantity (Each, Dozen)
- Weight (Kg, Gram)
- Volume (Liter, Milliliter)
- Length (Meter, Cm)

UOM Classes

UOMs are grouped into **UOM Classes**.

Product & Item Setup (HEART of SCM)

Examples:

Quantity (Each, Dozen)

Weight (Kg, Gram)

Volume (Liter, Milliliter)

Length (Meter, Cm)

Secondary UOM (optional)

- Used when items are handled in two units
- Common in manufacturing

Example:

Steel → KG and Meter

Product & Item Setup (HEART of SCM)

UOM Conversions

- Define conversion between UOMs
- Example:
 - 1 BOX = 10 EA
 - 1 DOZ = 12 EA

Used during purchasing, receiving, and selling.

Why UOMs are important

- Accurate inventory tracking
- Correct pricing
- Proper costing
- Smooth procurement & sales operations

Product & Item Setup (HEART of SCM)

Item Types in Oracle Fusion

Item Types define **what kind of item it is** and **how it behaves in transactions**.

The most common types are:

Raw Material - Items purchased and used in production or operations.

Key characteristics:

- Purchased from suppliers
- Stored in inventory
- Consumed during manufacturing or usage
- Inventory tracking = Yes

Product & Item Setup (HEART of SCM)

Examples:

- Steel
- Plastic
- Chemicals

Finished Goods - Items that are produced or purchased and sold to customers.

Key characteristics:

- Stocked in inventory
- Shippable to customers
- Generates revenue
- Inventory tracking = Yes

Product & Item Setup (HEART of SCM)

Examples:

- Mobile phones
- Laptops
- Furniture

Service - Non-physical items representing services.

Key characteristics:

- No physical inventory
- Not stored in warehouse
- Used for billing or procurement of services
- Inventory tracking = No

Product & Item Setup (HEART of SCM)

Examples:

- Consulting service
- Maintenance service
- Training service

Quick comparison table

Item Type	Inventory	Physical	Used For
Raw Material	Yes	Yes	Production / Consumption
Finished Goods	Yes	Yes	Sales
Service	No	No	Billing / Procurement

Product & Item Setup (HEART of SCM)

Relationship with Item Class

Item Type is usually controlled by **Item Class**

Example:

- Raw Material Class
- Finished Goods Class
- Service Class

Procurement (PROCURE-TO-PAY)

Supplier Management

- Supplier creation
- Supplier sites
- Payment & tax details

Purchasing

- Requisition
- Purchase Order
- Approval rules

Procurement (PROCURE-TO-PAY)

Receiving

- Receipt
- Inspection
- Delivery to inventory

Accounting

- Receipt → Inventory Asset
- Invoice → AP

Procurement (PROCURE-TO-PAY)

Supplier Management - Supplier Management is the process of creating, maintaining, and controlling supplier information used for procurement and payment transactions.

It ensures smooth Procure-to-Pay (P2P) operations.

Why Supplier Management is Important

- Accurate Purchase Orders
- Correct invoice processing
- Proper payments
- Tax compliance
- Supplier performance tracking

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Procurement (PROCURE-TO-PAY)

Supplier Structure in Oracle Fusion

Supplier (Enterprise Level)



Supplier Site (BU Level)



Procurement & Payment Transactions

Procurement (PROCURE-TO-PAY)

Supplier (Header Level)

Created once at **Enterprise level**.

Contains:

- Supplier Name
- Supplier Number
- Taxpayer ID (GST, VAT, PAN, etc.)
- Address
- Business relationship (Procurement / Payables)

A supplier can be used across multiple Business Units.

Procurement (PROCURE-TO-PAY)

Supplier Site

Created under a **Business Unit**.

Represents:

- Supplier branch/location
- Specific transaction setup

Contains:

- Payment terms
- Payment method
- Bank details
- Tax details
- Site purpose (Purchasing, Pay, RFQ)

👉 One supplier can have multiple sites.

Procurement (PROCURE-TO-PAY)

End-to-End Example (Procure-to-Pay)

1. Supplier created
2. Supplier Site defined
3. Purchase Order created (Procurement BU)
4. Goods received
5. Invoice created (AP)
6. Payment processed

All flows depend on correct Supplier Management setup.

Procurement (PROCURE-TO-PAY)

Important Interview Points

- Supplier = Created at Enterprise level
- Supplier Site = Created at BU level
- Payment details stored at Site level
- Tax registration maintained at Supplier/Site level

Procurement (PROCURE-TO-PAY)

Supplier Creation - Supplier Creation is the process of registering a vendor in Oracle Fusion so that the organization can purchase goods/services and make payments.

Supplier is created at the **Enterprise level**.

Where is Supplier Created?

Navigation (common path):

Navigator → Procurement → Suppliers → Create Supplier

(Access depends on role like Procurement Agent / Supplier Administrator)

Procurement (PROCURE-TO-PAY)

Steps in Supplier Creation

Basic Information (Header Level)

You enter:

- Supplier Name
- Supplier Number (auto/manual)
- Tax Organization Type (Company / Individual)
- Address

This creates the **Supplier Record**.

Procurement (PROCURE-TO-PAY)

Business Relationship

You define how the supplier will be used:

- Procurement
- Spend Authorization
- Payables

Most common → Procurement + Payables

Add Supplier Sites

After supplier header creation, create **Supplier Sites** per Business Unit.

Procurement (PROCURE-TO-PAY)

- Site Name
- Business Unit
- Site Purpose (Purchasing / Pay / RFQ)
- Payment Terms
- Payment Method
- Bank Details
- Tax Registration

Structure View

Supplier (Enterprise Level)



Supplier Site (BU Level)



Transactions (PO / Invoice / Payment)

Procurement (PROCURE-TO-PAY)

Example

Supplier: **ABC Traders Pvt Ltd**

Sites:

- Mumbai Site (Purchasing + Pay)
- Delhi Site (Purchasing only)

Now Procurement BU can create PO using that site.

Important Interview Points

- Supplier created once, reused across BUs
- Supplier Site created per BU
- Payment details stored at Site level
- Tax registration required for compliance

Procurement (PROCURE-TO-PAY)

Supplier sites - A **Supplier Site** is a location of the supplier that is assigned to a specific **Business Unit (BU)** for transactions.

Supplier = Created at Enterprise level

Supplier Site = Created at BU level

Structure

Enterprise



Supplier (ABC Pvt Ltd)



Supplier Site (Mumbai – Procurement BU)



PO / Invoice / Payment

Procurement (PROCURE-TO-PAY)

Why Supplier Site is Needed?

Because:

- Different BUs may transact with the same supplier
- Each BU may have different:
 - Payment terms
 - Bank accounts
 - Tax registrations
 - Currency
 - Address

So site controls BU-specific settings.

Procurement (PROCURE-TO-PAY)

What is Defined at Supplier Site?

At site level you configure:

Site Purpose

- Purchasing
- Pay
- RFQ
- Primary Pay Site

Business Unit Assignment

Each site is linked to one BU.

One supplier → multiple sites → different BUs.

Procurement (PROCURE-TO-PAY)

Payment Details

- Payment terms (Net 30, Immediate, etc.)
- Payment method (Cheque, EFT, Wire)
- Bank account
- Pay group

Tax Details

- GST registration number
- Tax classification
- Withholding tax

Procurement (PROCURE-TO-PAY)

Address

Each site can have different address.

Example:

- Mumbai Office
- Delhi Branch
- Bangalore Warehouse

Procurement (PROCURE-TO-PAY)

Real Example

Supplier: **ABC Technologies**

Sites:

Site Name	BU	Purpose
Mumbai Site	India Procurement BU	Purchasing + Pay
US Site	US BU	Purchasing + Pay

Same supplier → different countries → different tax rules.

Procurement (PROCURE-TO-PAY)

Important Interview Point

Supplier is shared across enterprise

Supplier Site is BU specific

Transactions happen at Site level

PO always references:

Supplier + Supplier Site

Procurement (PROCURE-TO-PAY)

Payment & Tax Details in Supplier (Oracle Fusion)

Payment Details

These control **how and when supplier is paid**.

A) Payment Terms

Defines *when payment should be made*.

Examples:

- Immediate
- Net 30
- Net 60
- 2% 10 Net 30 (discount terms)

Impacts due date in Payables.

Procurement (PROCURE-TO-PAY)

B) Payment Method

Defines *how payment is made*.

Examples:

- EFT (Electronic Fund Transfer)
- Wire
- Cheque
- ACH

C) Bank Account Details

Stored for electronic payments:

- Bank Name
- Account Number

Procurement (PROCURE-TO-PAY)

- IBAN
- SWIFT Code
- Branch

Usually maintained under:

Manage Bank Accounts

D) Pay Group

Used to group suppliers for payment processing.

Example:

- LOCAL
- FOREIGN
- URGENT

Procurement (PROCURE-TO-PAY)

E) Currency

Default payment currency:

- INR & USD & EUR

Tax Details

These control **tax calculation & compliance**.

Especially important in India (GST).

A) Tax Registration Number

Examples:

- GSTIN / PAN / VAT / TIN

Procurement (PROCURE-TO-PAY)

B) Tax Classification Code

Defines which tax applies:

- Standard GST
- Zero Rated
- Exempt
- Reverse Charge

C) Withholding Tax (TDS)

If applicable:

- TDS section
- Withholding rate
- Threshold amount

Used in Payables.

Procurement (PROCURE-TO-PAY)

D) Tax Regime

Example:

- GST Regime
- VAT Regime

Where Configured?

Navigation:

Procurement → Suppliers → Edit Supplier → Site → Payments / Tax

Flow in P2P

1. PO Created
2. Invoice Created

Procurement (PROCURE-TO-PAY)

1. System derives:
 - Payment terms
 - Tax
 - Withholding
2. Payment Processed

Real Example (India)

Supplier: ABC Services

At Site:

- Payment Terms: Net 30
- Payment Method: EFT
- GSTIN: 27ABCDE1234F1Z5
- TDS Section: 194C
- Withholding Rate: 1%

Procurement (PROCURE-TO-PAY)

When invoice created:

- GST auto calculated
- TDS deducted
- Net amount paid

Procurement (**PROCURE-TO-PAY**)

Purchasing - Purchasing is the process of procuring goods or services from suppliers through Purchase Orders (POs).

It is part of **Oracle Fusion Procurement (SCM)**.

Objective of Purchasing

- Buy raw materials
- Buy finished goods
- Procure services
- Maintain supplier relationships
- Control spending

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Procurement (PROCURE-TO-PAY)

Purchasing Structure in Oracle Fusion

Enterprise



Legal Entity



Business Unit (Procurement BU)



Supplier



Purchase Order

Procurement (PROCURE-TO-PAY)

Purchasing transactions happen at **Business Unit level**.

Purchasing Process (P2P Flow)

Requisition (Optional Step)

User requests item.

Navigation:

Procurement → Purchase Requisitions

Approval

Requisition goes for approval workflow.

Procurement (PROCURE-TO-PAY)

Create Purchase Order (PO)

PO is created from:

- Approved Requisition
OR
- Directly (manual PO)

PO Approval

PO goes through approval rules.

Receipt of Goods

Inventory team receives goods.

Navigation:

Inventory → Receive Expected Shipments

Procurement (PROCURE-TO-PAY)

Invoice - AP team creates invoice in Payables.

Payment - Payment processed via Payables.

Types of Purchase Orders

Standard PO - One-time purchase.

Blanket Purchase Agreement (BPA) - Long-term agreement with fixed price.

Contract Purchase Agreement (CPA) - Agreement without fixed quantity.

Planned PO - Scheduled releases.

Procurement (PROCURE-TO-PAY)

Purchasing BU Role

Purchasing BU controls:

- Procurement transactions
- Approval rules
- Supplier sites
- Purchasing policies

Important Concepts

Document Styles

Control PO layout and rules.

Procurement (PROCURE-TO-PAY)

Approval Rules

Based on:

- Amount
- Department
- Category

Matching Types

- 2-Way Match (PO ↔ Invoice)
- 3-Way Match (PO ↔ Receipt ↔ Invoice)
- 4-Way Match (Includes Inspection)

Procurement (PROCURE-TO-PAY)

Real Example

Company buys laptops:

1. IT creates requisition.
2. Manager approves.
3. Procurement creates PO to Dell.
4. Goods received.
5. Invoice matched.
6. Payment made.

Procurement (PROCURE-TO-PAY)

Requisition - A Requisition is an internal request to purchase goods or services.

It is created by an **employee/user**, not sent to supplier directly.

Simple Meaning

Employee says: “I need this item.”

That request = **Requisition**

Where Requisition is Created?

Navigation:

Navigator → Procurement → Purchase Requisitions

or

Self Service Procurement

Procurement (PROCURE-TO-PAY)

Requisition Flow

User → Create Requisition



Approval Workflow



PO Creation



Supplier

Procurement (PROCURE-TO-PAY)

Types of Requisitions

Goods Requisition

For physical items. Example: Laptop, Raw Material

Service Requisition

For services. Example: Consulting, AMC, Maintenance

Requisition Details

When creating requisition, user enters:

- Item / Description
- Quantity
- UOM
- Need-by Date

Procurement (PROCURE-TO-PAY)

- Deliver-to Location
- Charge Account
- Supplier (optional)

What Happens After Approval?

Once approved:

- Automatically converts to Purchase Order
OR
- Procurement team creates PO manually

Requisition is Created At?

Business Unit level

Charge account must be valid

Budget can be checked (if enabled)

Procurement (PROCURE-TO-PAY)

Important Concepts

Catalog Requisition - Item selected from predefined catalog.

Non-Catalog Requisition - Manual entry of item details.

Smart Form - Predefined template for frequent purchases.

Real Example

Employee needs a laptop:

1. Creates requisition.
2. Manager approves.
3. Procurement creates PO.
4. Supplier ships laptop.

Procurement (PROCURE-TO-PAY)

Requisition vs PO

Requisition	Purchase Order
Internal document	External document
Not sent to supplier	Sent to supplier
Created by employee	Created by procurement
Requires approval	Requires approval

Procurement (PROCURE-TO-PAY)

Purchase Order - A Purchase Order is a formal document issued to a supplier to purchase goods or services.

It is an **external document** sent to the supplier.

Simple Meaning

Requisition = “I need this item”

Purchase Order = “We are officially buying this item from you”

Where PO is Created?

Navigation:

Navigator → Procurement → Purchase Orders

Procurement (PROCURE-TO-PAY)

Created by:

- Procurement Agent
- Buyer

At: **Business Unit level**

PO Flow in P2P

Requisition (optional)



Purchase Order



Procurement (PROCURE-TO-PAY)

Approval



Sent to Supplier



Receipt



Invoice



Procurement (PROCURE-TO-PAY)

Payment

Types of Purchase Orders

Standard PO - One-time purchase.

Example: Buy 100 laptops once.

Blanket Purchase Agreement (BPA) - Long-term agreement with fixed price.

Example: Buy laptops for 1 year at ₹50,000 each.

Releases are created from BPA.

Contract Purchase Agreement (CPA) - Long-term contract without fixed quantity.

Planned PO - Planned deliveries with schedule.

Procurement (PROCURE-TO-PAY)

PO Contains

- Supplier
- Supplier Site
- Item
- Quantity
- Price
- UOM
- Delivery Location
- Charge Account
- Tax
- Payment Terms

Procurement (PROCURE-TO-PAY)

Important Concepts

Document Status

- Incomplete
- In Approval
- Open
- Closed
- Cancelled

Matching Types

2-Way Matching - PO ↔ Invoice

3-Way Matching - PO ↔ Receipt ↔ Invoice

4-Way Matching - PO ↔ Receipt ↔ Inspection ↔ Invoice

Procurement (PROCURE-TO-PAY)

Change Order

If PO is modified after approval → goes for reapproval.

PO is Linked To

- Business Unit
- Legal Entity (via BU)
- Ledger (indirectly)
- Supplier
- Inventory Organization

Procurement (PROCURE-TO-PAY)

Real Example

Company buys raw materials:

1. Requisition created.
2. PO created for 100 units @ ₹500.
3. PO approved.
4. Supplier delivers.
5. Receipt recorded.
6. Invoice matched.
7. Payment processed.

Procurement (PROCURE-TO-PAY)

Approval Rules - Approval Rules define who must approve a transaction (Requisition, PO, Invoice, etc.) before it becomes valid.

Oracle Fusion uses **BPM (Business Process Management)** for approvals.

Where Approval Rules Are Used?

- Requisition Approval
- Purchase Order Approval
- Invoice Approval
- Supplier Approval
- Journal Approval (Financials)

Procurement (PROCURE-TO-PAY)

How Approval Works (Example – PO)

PO Created



System checks Approval Rules



Approver identified



Approved / Rejected



PO becomes Open

Procurement (PROCURE-TO-PAY)

Based On What Are Rules Defined?

Approval rules can be based on:

- Amount
- Business Unit
- Department
- Cost Center
- Category
- Project
- Document Type
- Job Role
- Supervisory Hierarchy

Procurement (PROCURE-TO-PAY)

Types of Approval Routing

Supervisory Hierarchy - Approval goes to: Employee → Manager → Director (based on hierarchy)

Job Level - Approval based on job grade. Example: Level 5+ can approve up to ₹5 Lakhs.

Position Hierarchy - Based on organization position structure.

Single Approver - Specific person always approves.

Parallel Approval - Multiple approvers at same time.

FYI (For Your Information) - Not for approval, just notification.

Where to Configure?

Navigation: **Setup and Maintenance** → **Financials/Procurement** → **Manage Approval Rules**

Uses: BPM Worklist , Task Configuration

Procurement (PROCURE-TO-PAY)

Example Rule

If PO Amount:

- Up to ₹1,00,000 → Manager approval
- ₹1,00,001 to ₹5,00,000 → Director approval
- Above ₹5,00,000 → CFO approval

Requisition Approval Example

Employee creates requisition →

Goes to immediate manager →

If amount exceeds limit → goes higher.

Procurement (PROCURE-TO-PAY)

Important Points

- Approval rules are BU specific.
- If no rule exists → document may auto-approve.
- Change Order triggers reapproval.
- Rules are configured in BPM, not directly in PO screen.

Procurement (PROCURE-TO-PAY)

Receiving - Receiving is the process of recording that goods or services have been delivered by the supplier.

It confirms:

- Quantity received
- Condition of goods
- Delivery date

Why Receiving is Important?

- Updates inventory
- Enables 3-way matching
- Triggers accounting entries
- Confirms supplier delivery

Procurement (PROCURE-TO-PAY)

Where Receiving Happens?

Navigation: **Navigator** → **Inventory Management** → **Receive Expected Shipments**

OR

Procurement → **Receipts**

Receiving Flow

PO Created



Supplier Ships Goods



Receiving Team Receives Goods



Procurement (PROCURE-TO-PAY)

System Creates Receipt



Inventory Updated

Types of Receiving

Standard Receiving - Direct receive into inventory.

Inspection Required - Goods first go to Inspection area.

Flow: Receive → Inspect → Accept / Reject

Expense Destination - Goods directly expensed (no inventory).

Example: Office supplies

Procurement (PROCURE-TO-PAY)

Receipt Destinations

When PO is created, destination type is defined:

- Inventory
- Expense
- Shop Floor
- Receiving

Receiving Status

- Expected
- Partially Received
- Fully Received
- Closed

Procurement (PROCURE-TO-PAY)

3-Way Matching Connection

For invoice payment:

System matches: PO ↔ Receipt ↔ Invoice

If receipt not done → invoice may not validate.

Example

Company ordered 100 laptops.

Supplier delivers 90.

Receiving team:

- Creates receipt for 90.
- Remaining 10 still open.

Invoice should match only 90 (if 3-way match).

Procurement (PROCURE-TO-PAY)

Accounting Impact (Inventory Item)

When received: Dr Inventory /Cr Receiving Accrual

When invoice validated: Dr Receiving Accrual / Cr Accounts Payable

Important Points

- Receiving is done at Inventory Organization level.
- Receipt number is auto-generated.
- Partial receiving allowed.
- Return to Supplier possible.

Procurement (PROCURE-TO-PAY)

Receipt - A Receipt is the system document that records the quantity of goods/services received against a Purchase Order.

It is proof that goods were physically received.

Simple Difference

Receiving = Process

Receipt = Document generated from that process

Where Receipt is Created?

Navigation: **Inventory Management** → **Receive Expected Shipments**

OR

Procurement → **Receipts**

Procurement (PROCURE-TO-PAY)

Receipt Flow

Purchase Order



Goods Delivered



Receipt Created



Inventory Updated

Procurement (PROCURE-TO-PAY)

What Does Receipt Contain?

- Receipt Number (auto-generated)
- Supplier
- PO Number
- Item
- Quantity Received
- UOM
- Receiving Location
- Date
- Destination Type (Inventory / Expense)

Procurement (PROCURE-TO-PAY)

Receipt Destinations

Inventory

Goods added to stock.

Accounting:

Dr Inventory

Cr Receiving Accrual

Expense

Directly charged to expense account.

Accounting:

Dr Expense

Cr Receiving Accrual

Procurement (PROCURE-TO-PAY)

Inspection

Goods inspected before adding to inventory.

Receive → Inspect → Accept/Reject

Receipt Status

- Open
- Partially Received
- Fully Received
- Closed
- Returned

Procurement (PROCURE-TO-PAY)

Types of Receipt Actions

- Receive
- Deliver
- Return to Supplier
- Correct
- Inspect

Example

PO created for 100 units.

Supplier sends 80.

You create receipt for 80.

Procurement (PROCURE-TO-PAY)

System:

- Updates inventory with 80
- PO still open for 20

Why Receipt is Important?

- Required for 3-Way Matching
- Enables Invoice Validation
- Updates Inventory Quantity
- Triggers Accounting
- Allows Returns

Procurement (PROCURE-TO-PAY)

Inspection - Inspection is the process of checking the quality of goods after receiving and before adding them to inventory.

It ensures:

- Correct quantity
- Good condition
- Meets quality standards

When is Inspection Used?

When PO line is configured as:

Destination Type = Inventory

Routing = Inspection Required

Procurement (PROCURE-TO-PAY)

Inspection Flow

PO Created



Receive (to Inspection)



Inspect Goods



Accept / Reject



Inventory Updated

Procurement (PROCURE-TO-PAY)

Receiving Routing Types

There are 3 types:

Direct Delivery

Receive → Direct to Inventory (No inspection)

Standard Receipt

Receive → Receiving Area → Deliver to Inventory

Inspection Required

Receive → Inspection Area → Accept / Reject

Procurement (PROCURE-TO-PAY)

What Happens During Inspection?

Inspector performs:

- Quantity check
- Damage check
- Quality verification

Then chooses:

 **Accept** - Moves goods to inventory.

 **Reject** - Return to supplier.

Partial Accept - Some accepted, some rejected.

Procurement (PROCURE-TO-PAY)

Accounting Impact

When received to inspection:

Dr Receiving

Cr Receiving Accrual

When accepted:

Dr Inventory

Cr Receiving

If rejected:

Dr Return to Supplier

Cr Receiving

Procurement (PROCURE-TO-PAY)

Why Inspection is Important?

- Quality control
- Prevents bad stock entry
- Required for **4-way matching**

4-Way Matching

Invoice is matched against:

PO ↔ Receipt ↔ Inspection ↔ Invoice

Payment happens only after inspection approval.

Procurement (PROCURE-TO-PAY)

Example

Company ordered 100 laptops.

During inspection:

- 95 accepted
- 5 damaged

System:

- 95 moved to inventory
- 5 returned

Invoice can only be validated for 95.

Procurement (PROCURE-TO-PAY)

Inventory movement - Delivery to Inventory is the step where received goods are moved into actual inventory stock and become available for use.

It happens after:

- Direct Receiving
OR
- Inspection (after Accept)

Flow Explanation

Direct Delivery Routing

PO



Receive

Procurement (PROCURE-TO-PAY)



Automatically Delivered to Inventory

Goods go directly into stock.

Standard Routing

PO



Receive (to Receiving Area)



Deliver



Inventory

Procurement (PROCURE-TO-PAY)

You must manually perform **Deliver** action.

Inspection Routing

PO



Receive (Inspection Area)



Inspect



Accept



Delivered to Inventory

Procurement (PROCURE-TO-PAY)

Where to Perform Delivery?

Navigation:

Inventory Management → Receipts → Manage Receipts

Select receipt → Click **Deliver**

What Happens During Delivery?

When delivered:

- Stock increases
- Item available for issue
- On-hand quantity updated
- Accounting entry generated

Procurement (PROCURE-TO-PAY)

Accounting Entry (Inventory Item)

At Delivery:

Dr Inventory Valuation

Cr Receiving Account

(If Perpetual Inventory)

What Changes in System?

Before Delivery	After Delivery
Item in Receiving	Item in Inventory
Not usable	Available for issue
Not in on-hand	On-hand updated

Procurement (PROCURE-TO-PAY)

Important Concept

Receiving $\neq$ Available Stock

Delivery = Stock Available

Many beginners confuse this.

Example

PO for 100 units.

Step 1: Receive 100 $\rightarrow$ In Receiving area

Step 2: Deliver 100 $\rightarrow$ Now in inventory stock

Inventory on-hand increases by 100.

Procurement (PROCURE-TO-PAY)

If Not Delivered?

- Stock not available
- Cannot issue to production
- Cannot transfer
- On-hand report will not show quantity

Procurement (PROCURE-TO-PAY)

Accounting in Procurement (Inventory Item)

When purchasing an **Inventory Item**, accounting happens in **2 stages**:

Stage 1: At Receipt (Delivery to Inventory)

When goods are delivered to inventory:

Journal Entry:

Dr Inventory Asset

Cr Receiving Accrual

Meaning:

- Inventory increases (Asset increases)
- Liability is created temporarily (Receiving Accrual)

This is called **Accrual Accounting**.

Procurement (PROCURE-TO-PAY)

Stage 2: At Invoice Validation

When supplier invoice is matched and validated:

Journal Entry:

Dr Receiving Accrual

Cr Accounts Payable (AP Liability)

Meaning:

- Temporary liability cleared
- Actual supplier liability created

Stage 3: At Payment

When payment is made:

Procurement (PROCURE-TO-PAY)

Journal Entry:

Dr Accounts Payable

Cr Cash / Bank

Full Flow Together

At Receipt:

Dr Inventory Asset

Cr Receiving Accrual

At Payment:

Dr AP

Cr Cash

Procurement (PROCURE-TO-PAY)

Why Receiving Accrual?

Because:

- Goods received before invoice arrives.
- System must record liability temporarily.
- Later matched with invoice.

This ensures proper accounting period reporting.

What if Expense Item?

If PO is for **Expense Destination**:

At Receipt:

Dr Expense Account

Cr Receiving Accrual

Procurement (PROCURE-TO-PAY)

Then invoice clears accrual.

Example

Company buys laptops worth ₹1,00,000.

Receipt:

Dr Inventory 1,00,000 / Cr Receiving Accrual 1,00,000

Invoice:

Dr Receiving Accrual 1,00,000 / Cr AP 1,00,000

Payment:

Dr AP 1,00,000 / Cr Bank 1,00,000

Inventory Management (STORE)

Inventory Basics

- On-hand
- Sub-inventories
- Locators

Inventory Transactions

- PO receipt
- Issue
- Transfer
- Cycle count

Inventory Valuation

- Standard Cost
- Average Cost

Inventory Management (STORE)

Inventory - Inventory is the stock of goods stored in warehouses for use, sale, or production.

It includes:

- Raw Materials
- Finished Goods
- Spare Parts
- Consumables

Inventory Structure in Oracle Fusion

Enterprise



Legal Entity



Inventory Management (STORE)

Inventory Organization



Subinventory



Locator

Inventory Organization - A facility where inventory is stored and managed.

Examples:

- Mumbai Warehouse
- Delhi Factory
- Bangalore Distribution Center

Inventory Management (STORE)

Important:

- Linked to Legal Entity
- Has costing
- Owns stock

Subinventory - Logical storage area inside an Inventory Organization.

Examples:

- Raw Material Store
- Finished Goods Store
- Spare Parts Area

👉 Not physical building — logical grouping.

Inventory Management (STORE)

Locator - Exact physical location within subinventory.

Example:

Warehouse A

→ Rack 5

→ Shelf 2

→ Bin 10

Locator = A-5-2-10

Item

Item is the product stored in inventory.

Each item has:

- Item Number
- Description
- UOM

Inventory Management (STORE)

- Item Type
- Item Class

Types of Inventory Items

Raw Material - Used in production.

Finished Goods - Ready for sale.

Trading Goods - Bought & sold directly.

Service Item - No physical stock.

Common Inventory Transactions

Receive | Deliver | Issue | Transfer | Return | Adjust

Inventory Management (STORE)

Inventory Accounting (Basic)

When received:

Dr Inventory

Cr Receiving Accrual

When issued to expense:

Dr Expense

Cr Inventory

Key Concepts

On-Hand Quantity - Available stock in system.

Available Quantity - On-hand minus reserved quantity.

Min-Max Planning - Reorder when stock reaches minimum level.

Inventory Management (STORE)

Example Structure

Company ABC:

Inventory Org: Mumbai Warehouse

Subinventory: RAW_STORE

Locator: R1-A2-B5

Item: Steel Rod

Stock: 500 units

Inventory Management (STORE)

On-Hand Quantity - On-Hand Quantity is the total physical stock available in an Inventory Organization at a given time.

It shows how much stock is currently in the warehouse.

Where On-Hand is Maintained?

On-hand is tracked at:

Inventory Organization



Subinventory



Locator (if enabled)

Inventory Management (STORE)

So stock can be seen at:

- Organization level
- Subinventory level
- Locator level
- Lot / Serial level (if applicable)

Example

Inventory Org: Mumbai Warehouse

Subinventory: RAW_STORE

Item: Steel Rod

On-Hand = 500 units

If 200 units are in Rack A and 300 in Rack B → total on-hand = 500.

Inventory Management (STORE)

What Increases On-Hand?

- PO Receipt (Delivery to Inventory)
- Miscellaneous Receipt
- Transfer In
- Return from customer
- Production completion

What Decreases On-Hand?

- Issue to expense
- Issue to production
- Sales shipment
- Transfer Out
- Return to supplier
- Adjustment

Inventory Management (STORE)

On-Hand vs Available Quantity

On-Hand	Available
Total physical stock	Stock available for use
Includes reserved qty	Excludes reserved qty

Example:

On-Hand = 100

Reserved for sales order = 30

Available = 70

Inventory Management (STORE)

Subinventory - A Subinventory is a logical storage area within an Inventory Organization where items are stored.

It helps organize stock inside a warehouse.

Inventory Structure Reminder

Enterprise



Legal Entity



Inventory Organization (Warehouse)



Subinventory

Inventory Management (STORE)



Locator (optional)

Example

Inventory Org: **Mumbai Warehouse**

Inside it, you may have:

- RAW_STORE
- FG_STORE
- REJECTED
- SPARES
- WIP_STORE

Each of these is a **Subinventory**.

Inventory Management (STORE)

Important Points

- Subinventory belongs to one Inventory Organization.
- It is not a physical building — it's a logical grouping.
- It can be storage, staging, inspection, etc.

Types of Subinventories (Common Usage)

Raw Material Store - Stores raw materials.

Finished Goods Store - Stores finished products.

Receiving Area - Temporary area before delivery.

Rejected Area - Damaged or rejected goods.

Inventory Management (STORE)

Subinventory Controls

Each subinventory can have:

- Material Status (Active / Restricted)
- Locator Control (Yes / No)
- Asset or Expense Type
- Picking rules
- Replenishment settings

Asset vs Expense Subinventory

Asset Subinventory

Inventory value is tracked.

Used for stock items.

Inventory Management (STORE)

Accounting:

Dr Inventory

Cr Receiving Accrual

Expense Subinventory

Inventory not tracked as asset.

Used for consumables.

Accounting:

Dr Expense

Cr Receiving Accrual

Locator Control

Subinventory may have:

Inventory Management (STORE)

- No Locator
- Optional Locator
- Mandatory Locator

If locator enabled → stock tracked at bin level.

Example

PO Received: 100 units

Delivered to:

Subinventory: RAW_STORE

Locator: R1-A2-B5

On-Hand:

RAW_STORE = 100

Inventory Management (STORE)

Why Subinventory is Important?

- Organizes warehouse
- Controls stock movement
- Controls asset vs expense accounting
- Helps in reporting
- Enables planning

Inventory Org vs Subinventory

Inventory Org	Subinventory
Physical warehouse	Logical storage area
Linked to Legal Entity	Linked to Inventory Org
Higher level	Lower level

Inventory Management (STORE)

Locators - A Locator is the exact physical location within a Subinventory where items are stored.

Think of it as **Bin / Rack / Shelf / Position** inside a warehouse.

Inventory Structure Reminder

Inventory Organization



Subinventory



Locator

Example

Inventory Org: Mumbai Warehouse

Subinventory: RAW_STORE

Inventory Management (STORE)

Inside RAW_STORE:

Rack	Shelf	Bin
R1	S1	B1
R1	S1	B2
R2	S3	B5

Locator example:

R1-S1-B1

Why Locators Are Used?

- Track exact storage position
- Improve picking accuracy

Inventory Management (STORE)

- Support large warehouses
- Reduce errors
- Enable better reporting

Locator Control Types

When defining Subinventory, you choose:

No Locator Control - No bin tracking. Simple warehouse.

Optional Locator - User can enter locator.

Mandatory Locator - User must enter locator for every transaction.

Best practice for large warehouses.

Where Locators Are Used?

Receiving | Putaway | Issue | Transfer | Picking | Cycle Count

Inventory Management (STORE)

Example Transaction

PO Received: 100 units

Delivered to:

Subinventory: RAW_STORE

Locator: R1-S2-B4

On-Hand now stored at that specific bin.

Locator Segments

Locators can have segments like:

Zone – Rack – Shelf – Bin

A – 02 – 05 – 10

System allows structured locator format.

Inventory Management (STORE)

Difference.

Subinventory	Locator
Logical storage area	Exact physical bin
Example: RAW_STORE	Example: R1-S2-B3

Real Example

Warehouse has 10,000 SKUs.

Without locator → difficult to find item.

With locator → system tells exact bin.

Inventory Management (STORE)

Inventory Transactions - Inventory Transactions are movements of stock within or outside the inventory organization.

Whenever quantity increases, decreases, or moves → it is an Inventory Transaction.

Types of Inventory Transactions

We can divide into 3 categories:

Receipt Transactions (Increase Stock)

These increase on-hand quantity:

- PO Receipt (Delivery to Inventory)
- Miscellaneous Receipt
- Inter-Org Transfer In
- Return from Customer
- Production Completion

Inventory Management (STORE)

Accounting Example (PO Receipt):

Dr Inventory

Cr Receiving Accrual

Issue Transactions (Decrease Stock)

These reduce on-hand quantity:

- Issue to Expense
- Issue to Production
- Sales Shipment
- Miscellaneous Issue
- Return to Supplier
- Transfer Out

Accounting Example (Issue to Expense):

Inventory Management (STORE)

Dr Expense

Cr Inventory

Transfer Transactions (Move Stock)

Stock moves but total inventory doesn't change.

Types:

Subinventory Transfer

Move within same organization.

Example: RAW_STORE → FG_STORE

Accounting: No financial impact (if both asset).

Inventory Management (STORE)

Inter-Organization Transfer

Move between two inventory organizations.

Example: Mumbai Warehouse → Delhi Warehouse

Accounting: May create accounting entries depending on setup.

Locator Transfer

Move between bins.

No accounting impact.

Example Scenario

Initial On-Hand: 100 units

Misc Receipt +50 → On-Hand = 150

Issue to Production -40 → On-Hand = 110

Transfer to another Subinventory -20 → On-Hand = 90

Inventory Management (STORE)

Where to Perform Transactions?

Navigation:

Inventory Management → Manage Inventory Transactions

or through specific transaction screens like:

- Miscellaneous Transactions
- Subinventory Transfers
- Inter-org Transfers

Important Concepts

Transaction Types

Predefined types that control accounting.

Inventory Management (STORE)

Example:

- Misc Issue
- Misc Receipt
- Subinventory Transfer
- Account Alias Issue

Transaction Source

Where transaction originated:

- PO
- Sales Order
- Work Order

Costing Impact

If item is cost-enabled → transaction creates costing entries.

Inventory Management (STORE)

Inventory Transaction Flow in P2P

PO



Receipt



Delivery to Inventory (Transaction)



On-Hand Updated

Financial Impact Summary

Inventory Management (STORE)

Transaction	Accounting Impact
PO Receipt	Yes
Issue to Expense	Yes
Subinventory Transfer	No
Locator Transfer	No
Inter-org Transfer	Yes (sometimes)

Inventory Management (STORE)

PO Receipt (Purchase Order Receipt) - A PO Receipt is the transaction that records goods received from a supplier against a Purchase Order.

It confirms:

- Quantity received
- Delivery date
- Condition of goods

PO Receipt Flow in P2P

Requisition



Purchase Order



PO Receipt

Inventory Management (STORE)



Delivery to Inventory



Invoice



Payment

Where to Perform PO Receipt?

Navigation: **Inventory Management** → **Receive Expected Shipments**

OR

Procurement → **Receipts**

Inventory Management (STORE)

Steps in PO Receipt

Search PO - Find the approved PO.

Enter Quantity Received - Enter full or partial quantity.

Select Subinventory & Locator - (If destination type = Inventory)

Save & Submit - System generates Receipt Number.

Destination Types

Defined in PO line:

Inventory - Stock increases after delivery.

Expense - Directly expensed.

Inspection - Must inspect before delivery.

Inventory Management (STORE)

Receiving Routing Types

Routing	Process
Direct Delivery	Receive → Inventory
Standard	Receive → Deliver
Inspection	Receive → Inspect → Deliver

Example

PO for 100 units @ ₹500.

Supplier delivers 80.

You create receipt for 80.

Inventory Management (STORE)

System:

- Updates On-Hand +80
- PO still open for 20

Accounting:

Dr Inventory (40,000)

Cr Receiving Accrual (40,000)

Important Points

- Receipt can be partial.
- Receipt triggers 3-way matching.
- Receipt creates receiving accrual.
- You can return items after receipt.
- Receipt number is system-generated.

Inventory Management (STORE)

PO Receipt vs Invoice

PO Receipt	Invoice
Confirms goods received	Confirms bill received
Done in Inventory	Done in Payables
Updates inventory	Creates AP liability

Inventory Management (STORE)

Issue - An Issue is an inventory transaction that removes stock from inventory.

It reduces **On-Hand Quantity**.

When Do We Perform Issue?

Common scenarios:

- Issue to Expense (office use)
- Issue to Production (manufacturing)
- Issue for Project
- Sample issue
- Scrap issue
- Miscellaneous issue

Types of Issue Transactions

Issue to Expense

Inventory Management (STORE)

Used when material is consumed internally.

Example:

Office supplies taken from store.

Accounting:

Dr Expense Account

Cr Inventory

Issue to Production

Raw material issued to manufacturing.

 Accounting:

Dr Work in Process (WIP)

Cr Inventory

Inventory Management (STORE)

Miscellaneous Issue

Used when:

- Damaged goods
- Stock correction
- Sample distribution

■ Accounting:

Dr Expense / Scrap Account
Cr Inventory

Sales Order Issue (Shipment)

When goods shipped to customer.

■ Accounting:

Dr Cost of Goods Sold (COGS)
Cr Inventory

Inventory Management (STORE)

Where to Perform Issue?

Navigation: **Inventory Management** → **Manage Inventory Transactions**

Choose:

- Miscellaneous Transaction
- Issue Transaction Type

Example

On-Hand = 100 units

Issue 30 units to production

New On-Hand = 70

Accounting:

Dr WIP

Cr Inventory

Inventory Management (STORE)

Important Points

- Issue always reduces inventory.
- Locator must be specified (if enabled).
- Item must have available quantity.
- Accounting generated automatically (if cost-enabled).

Issue vs Transfer

Issue	Transfer
Stock leaves inventory	Stock moves within system
Reduces total on-hand	Does not reduce total
Accounting impact	Usually no accounting (within same org)

Inventory Management (STORE)

Real Scenario

Warehouse has 500 raw materials.

Production requests 100.

Store issues 100.

Inventory now 400.

Inventory Management (STORE)

Transfer - A Transfer is an inventory transaction that moves stock from one location to another.

Transfer moves stock but does NOT consume it.

Types of Transfers

There are 3 main types:

Subinventory Transfer

Moves stock between subinventories within the same Inventory Organization.

Example: RAW_STORE → FG_STORE

On-Hand:

- RAW_STORE decreases
- FG_STORE increases

Inventory Management (STORE)

- Total stock remains same

Accounting:

No accounting impact (if both asset)

Locator Transfer

Moves stock between bins within the same subinventory.

Example:

R1-S1-B1 → R2-S3-B4



Accounting:

No accounting impact

Only physical location changes.

Inventory Management (STORE)

Inter-Organization Transfer

Moves stock between two different Inventory Organizations.

Example:

Mumbai Warehouse → Delhi Warehouse

 Accounting:

Accounting impact (depends on setup)

Basic entry:

Sending Org:

Dr Inter-Org Receivable

Cr Inventory

Inventory Management (STORE)

Receiving Org:

Dr Inventory

Cr Inter-Org Payable

Where to Perform Transfer?

Navigation: **Inventory Management** → **Manage Inventory Transactions**

Select:

- Subinventory Transfer
- Inter-Organization Transfer

Example

On-Hand in RAW_STORE = 100

Transfer 40 to EG_STORE

Inventory Management (STORE)

- Result :
- RAW_STORE = 60
- FG_STORE = 40
- Total = 100

Transfer vs Issue

Transfer	Issue
Moves stock	Consumes stock
No expense created	Expense created
Stock remains in company	Stock leaves usage

Inventory Management (STORE)

When Do We Use Transfer?

- Moving stock between warehouses
- Reorganizing stock
- Sending stock to another branch
- Putaway from receiving area

Inventory Management (STORE)

Cycle count - Cycle Count is the process of physically counting selected inventory items periodically to ensure system quantity matches physical quantity.

Instead of counting entire warehouse at once (like physical inventory), cycle count counts items in batches.

Why Cycle Count is Needed?

- Maintain inventory accuracy
- Detect shrinkage / theft
- Correct system errors
- Support audit compliance

Inventory Management (STORE)

Cycle Count vs Physical Inventory

Cycle Count	Physical Inventory
Counts selected items	Counts entire warehouse
Done regularly	Done once or twice a year
No warehouse shutdown	Usually requires shutdown

Cycle Count Process in Oracle Fusion

Define Cycle Count



Generate Count Schedule



Inventory Management (STORE)

Perform Physical Count



Enter Count Quantity



Approve Adjustments



System Creates Adjustment

Where to Perform?

Navigation: **Inventory Management** → **Cycle Counts**

Inventory Management (STORE)

Steps in Detail

Define Cycle Count

Create cycle count name and assign:

- Inventory Organization
- Subinventory
- Items

Generate Count Entries

System selects items based on:

- ABC classification
- Last count date
- Frequency

Inventory Management (STORE)

Enter Physical Count

User enters physically counted quantity.

Compare with System Quantity

If difference found → variance generated.

Adjustment

If approved:

■ If Physical > System:

Dr Inventory

Cr Adjustment Account

■ If Physical < System:

Dr Adjustment Account

Cr Inventory

Inventory Management (STORE)

Example

System On-Hand = 100

Physical Count = 95

Shortage = 5

System reduces stock by 5.

Accounting:

Dr Inventory Adjustment Expense

Cr Inventory

ABC Classification (Important)

Items are classified:

- A Items → High value → Count frequently
- B Items → Medium value
- C Items → Low value → Count less frequently

Inventory Management (STORE)

Important Points

- Cycle count does not stop operations.
- Adjustment approval may be required.
- Tolerance limits can be defined.
- Supports audit trail.

Inventory Management (STORE)

Inventory Valuation - Inventory Valuation is the process of determining the monetary value of inventory stock.

It tells:

- How much inventory is worth
- Asset value in Balance Sheet
- Cost of Goods Sold (COGS)

Simple Formula

$\text{Inventory Value} = \text{Quantity} \times \text{Item Cost}$

Example:

On-Hand = 100 units

Cost per unit = ₹500

Inventory Value = ₹50,000

Inventory Management (STORE)

Where Inventory Value is Stored?

Inventory value is stored at:

Inventory Organization level

And linked to:

- Legal Entity
- Ledger

Inventory as Asset

Inventory is shown in:

Balance Sheet

Under **Current Assets**

Inventory Management (STORE)

When Inventory Value Increases?

- PO Receipt (Inventory Destination)
- Miscellaneous Receipt
- Production Completion
- Inter-Org Transfer In

Entry:

Dr Inventory Asset

Cr Receiving Accrual

When Inventory Value Decreases?

- Sales Shipment
- Issue to Expense
- Scrap
- Transfer Out

Inventory Management (STORE)

Entry:

Dr COGS / Expense

Cr Inventory

Costing Methods (Very Important)

Inventory valuation depends on costing method.

Oracle Fusion supports:

Standard Costing

Fixed predefined cost.

Even if purchase price changes → cost remains same.

Used in manufacturing.

Inventory Management (STORE)

Average Costing

Cost recalculated after every receipt.

Example:

Buy 100 units @ ₹100

Buy 100 units @ ₹120

New Average Cost = ₹110

FIFO (First In First Out)

Oldest stock cost used first.

Example (Average Cost)

Initial:

100 units @ ₹100 = ₹10,000

Inventory Management (STORE)

New Purchase:

100 units @ ₹120 = ₹12,000

Total:

200 units

New Average = ₹22,000 / 200 = ₹110

Where to View Inventory Valuation?

Navigation: **Cost Management** → **Review Inventory Valuation**

Reports:

- Inventory Valuation Report
- Cost Accounting Distribution
- Inventory Balance Report

Inventory Management (STORE)

Why Inventory Valuation is Important?

- Financial reporting
- Profit calculation
- Audit compliance
- COGS calculation
- Month-end closing

Real Example

Company has:

Item A → ₹5,00,000

Item B → ₹3,00,000

Item C → ₹2,00,000

Total Inventory Value = ₹10,00,000

Shown in Balance Sheet.

Inventory Management (STORE)

Standard Cost - Standard Cost is a **fixed, predefined cost** assigned to an item.

Even if purchase price changes, the cost remains the same until updated manually.

Simple Example

Item: Laptop

Standard Cost = ₹50,000

Now:

- Supplier 1 sells at ₹49,000
- Supplier 2 sells at ₹52,000

Still, inventory value will be recorded at:

₹50,000 (Standard Cost)

Difference goes to **Variance Account**.

Inventory Management (STORE)

Why Companies Use Standard Cost?

Mostly used in:

- Manufacturing companies
- Companies with stable production cost
- Budget-controlled environments

Because:

- ✓ Helps in cost control
- ✓ Helps in variance analysis
- ✓ Good for performance measurement

How Accounting Works (Important)

PO Receipt Example

Standard Cost = ₹100

Inventory Management (STORE)

Purchase Price = ₹110

When goods received:

Dr Inventory (100)

Dr Purchase Price Variance (10)

Cr Receiving Accrual (110)

Inventory recorded at ₹100

Difference ₹10 → Variance

When Item is Sold

Dr COGS (100)

Cr Inventory (100)

COGS uses standard cost.

Inventory Management (STORE)

What is Variance?

Variance = Actual Cost – Standard Cost

Types of variances:

1. Purchase Price Variance (PPV)
2. Material Variance
3. Labor Variance
4. Overhead Variance

In Manufacturing

Standard Cost =

Material Cost

+ Labor Cost

+ Overhead Cost

Inventory Management (STORE)

Total Standard Cost

Example:

Material = ₹60

Labor = ₹20

Overhead = ₹20

Standard Cost = ₹100

When is Standard Cost Updated?

Usually:

- Yearly
- Quarterly
- After cost rollup

Inventory Management (STORE)

- After BOM change

Navigation:

Cost Management → Manage Standard Costs

Impact on Financials

Scenario	Effect
Price > Standard	Unfavorable Variance
Price < Standard	Favorable Variance
Inventory Valuation	Always at Standard Cost
COGS	Based on Standard Cost

Inventory Management (STORE)

- After BOM change

Navigation:

Cost Management → Manage Standard Costs

Impact on Financials

Scenario	Effect
Price > Standard	Unfavorable Variance
Price < Standard	Favorable Variance
Inventory Valuation	Always at Standard Cost
COGS	Based on Standard Cost

Inventory Management (STORE)

Average Costing - Average Cost is a costing method where item cost changes automatically based on purchase price.

Each time you receive material, system recalculates a **new weighted average cost**.

Formula

$$\text{New Average Cost} = \frac{(\text{Total Inventory Value} + \text{New Receipt Value})}{(\text{Total Quantity} + \text{New Quantity})}$$

Simple Example

Step 1: First Receipt

Inventory Management (STORE)

100 units @ ₹50

Inventory Value = $100 \times 50 = ₹5000$

Average Cost = ₹50

Step 2: Second Receipt

100 units @ ₹70

New Calculation:

Old Value = ₹5000

New Value = $100 \times 70 = ₹7000$

Total Value = 12,000

Total Qty = 200

New Average Cost = $12,000 / 200 = ₹60$

Now item cost becomes ₹60 automatically.

Inventory Management (STORE)

When Item is Issued

Issue 50 units

$$\text{COGS} = 50 \times ₹60 = ₹3000$$

Inventory reduces at ₹60 per unit.

Key Difference from Standard Cost

Feature	Standard Cost	Average Cost
Cost Fixed?	Yes	No
Variance Account	Yes	No
Cost Changes Automatically	No	Yes
Good For	Manufacturing	Trading / Distribution

Inventory Management (STORE)

Where Average Cost is Used?

Mostly used in:

- ✓ Trading companies
- ✓ Retail companies
- ✓ Distribution companies
- ✓ Businesses with fluctuating purchase price

Impact on Inventory Valuation

Inventory value keeps changing with each receipt.

So:

- Financial reports show dynamic valuation
- No variance tracking
- COGS reflects actual weighted average cost

Manufacturing (MAKE)

BOM & Routings

- Components
- Operations
- Resources

Work Orders

- Create
- Release
- Complete
- Close

Manufacturing Accounting

- WIP
- Variances
- Cost rollup

Manufacturing (MAKE)

BOM (Bill of Materials)- BOM is a list of raw materials, components, and quantities required to manufacture a finished product.

Recipe of a product

Example

Product: Laptop

BOM:

Component	Quantity
Motherboard	1
RAM	2
SSD	1
Battery	1

Manufacturing (MAKE)

So to manufacture 1 Laptop → these components are required.

Types of BOM

- Standard BOM
- Model BOM
- Option Class BOM
- Planning BOM

Most commonly used: **Standard BOM**

Multi-Level BOM

Example:

Laptop

→ Motherboard

→ Chipset

→ Processor

Manufacturing (MAKE)

This is called **Multi-level BOM**.

Where to Create BOM?

Navigation: **Product Management** → **Manage Item Structure**

Routings - Routing defines the sequence of operations required to manufacture a product.

Manufacturing process steps

Example

Product: Laptop

Routing:

Manufacturing (MAKE)

Operation	Description	Work Center
10	Assemble Motherboard	Assembly Line 1
20	Install RAM & SSD	Assembly Line 2
30	Final Testing	QA Center
40	Packing	Packing Area

Where to Create Routing?

Navigation: **Manufacturing** → **Manage Work Definitions**

(Work Definition = BOM + Routing combined)

Manufacturing (MAKE)

BOM vs Routing

BOM	Routing
WHAT is needed	HOW to make
Components list	Process steps
Affects material cost	Affects labor & overhead
Used for material issue	Used for operation execution

Manufacturing (MAKE)

Cost Impact

Standard Cost =

Material Cost (from BOM)

- Labor Cost (from Routing)
- Overhead Cost (from Routing)

Example:

Material = ₹60

Labor = ₹20

Overhead = ₹20

Standard Cost = ₹100

Manufacturing (MAKE)

Components - Components are the raw materials or parts required to manufacture a finished product

They are defined inside a **BOM (Bill of Materials)**.

Simple Example

Finished Product: **Laptop**

Components:

- Motherboard
- RAM
- SSD
- Battery
- Screen

Each of these is a **Component Item**.

Manufacturing (MAKE)

Where Components Are Defined?

Components are:

Created as Items (in Item Master)

Added inside BOM structure

Navigation:

Product Management → Manage Item Structure

Component Details in BOM

When adding a component, we define:

- Item Name
- Quantity
- UOM
- Supply Type

Manufacturing (MAKE)

- Yield
- Effective Dates

Example:

Component	Qty	UOM
RAM	2	Each
SSD	1	Each

What Happens During Work Order?

When Work Order is created:

System explodes BOM

Components are reserved

Components are issued to WIP

Finished Good is completed

Manufacturing (MAKE)

Types of Components

Stocked Component - Physically stored in inventory. Example: RAM, SSD

Non-Stocked Component - Not stored, directly purchased. Example: Custom packaging

Phantom Component - Logical grouping of items. Used to simplify BOM

Supply Types

In BOM, component supply type can be:

- Push → Issued manually
- Operation Pull → Backflushed at operation
- Assembly Pull → Backflushed at completion

Backflush = automatic issue.

Manufacturing (MAKE)

Operations - An Operation is a step performed in the manufacturing process to produce a finished product.

Operations are defined inside **Routing (Work Definition)**.

Step-by-step process to manufacture a product

Example – Laptop Manufacturing

Routing Operations:

Operation No	Operation Name	Work Center
10	Motherboard Assembly	Assembly Line 1
20	Install RAM & SSD	Assembly Line 2
30	Testing	QA Center
40	Packing	Packing Area

Manufacturing (MAKE)

Each row is an **Operation**.

What Happens in Each Operation?

An operation can have:

- Assigned Work Center
- Resource (Labor/Machine)
- Operation Time
- Overhead
- Components linked to that operation

Where Operations Are Defined?

Navigation:

Manufacturing → Manage Work Definitions

Manufacturing (MAKE)

Work Definition =

BOM (Components)

Routing (Operations)

How Operations Work in Work Order

Work Order created

System loads operations

Production executes operation 10 → 20 → 30

Components issued (manual/backflush)

Finished Good completed

Cost Impact of Operations

Operation cost comes from:

- Labor cost
- Machine cost

Manufacturing (MAKE)

- Overhead cost

Example:

Operation 10:

- Labor = ₹200
- Machine = ₹300
- Overhead = ₹100

Total operation cost = ₹600

This adds to total production cost.

Manufacturing (MAKE)

Operation vs Component

Component	Operation
What is used	What is done
Material	Process
Affects material cost	Affects labor & overhead
Issued to WIP	Executed in sequence

Types of Operation Execution

Manual Reporting

Move Transaction

Backflush

Complete with Details

Manufacturing (MAKE)

Resources - A Resource represents the labor, machine, or equipment required to perform a manufacturing operation.

Resource = “Who or What performs the operation”

Example

Operation: Assemble Motherboard

Resources used:

- Technician (Labor Resource)
- Assembly Machine (Machine Resource)

Both are resources.

Manufacturing (MAKE)

Types of Resources

Labor Resource

Human workforce

Example:

- Technician
- Supervisor
- Quality Inspector

Machine Resource

Equipment or machinery

Example:

- CNC Machine
- Assembly Line
- Testing Machine

Manufacturing (MAKE)

Equipment Resource

Tools used in operations

Where Resources Are Defined?

Navigation: Manufacturing → Manage Resources

Then assign resource to: Work Definition → Operation

Resource Attributes

When creating a resource, we define:

- Resource Type (Labor/Machine)
- Unit of Measure (Hours)
- Cost Rate
- Capacity
- Efficiency

Manufacturing (MAKE)

During Work Order Execution

When operation is executed:

Resource usage recorded

Labor & machine cost absorbed

Cost moves to WIP

Accounting entry:

Dr WIP

Cr Resource Absorption Account

Resource vs Work Center

Resource	Work Center
Individual labor/machine	Group of resources
Has cost rate	Has capacity
Assigned to operation	Operations assigned to work center

Manufacturing (MAKE)

Work Orders - A Work Order is a document that authorizes and controls the manufacturing of a product.

Work Order = Permission to manufacture a product

Example

Sales Order: 100 Laptops

System creates:

👉 Work Order for 100 Laptops

That Work Order will:

- Load BOM (components)
- Load Routing (operations)
- Reserve materials
- Track production

Manufacturing (MAKE)

- Capture cost

What Does a Work Order Contain?

A Work Order includes:

- Finished Good Item
- Quantity
- Start Date
- Completion Date
- Components (from BOM)
- Operations (from Routing)
- Resources
- Status

Manufacturing (MAKE)

Work Order Lifecycle (Very Important 🔥)

Create - Work Order created manually or via planning/OM.

Status = Unreleased

Release - Authorizes production.

Status = Released

Material Issue - Components issued to WIP.

Accounting:

Dr WIP

Cr Inventory

Manufacturing (MAKE)

Operation Execution - Labor & machine time recorded.

Accounting:

Dr WIP

Cr Resource Absorption

Completion - Finished goods completed to inventory.

Accounting:

Dr Finished Goods Inventory

Cr WIP

Close - System calculates variance (Standard Costing).

Manufacturing (MAKE)

Status	Meaning
Unreleased	Created but not started
Released	Production started
Completed	Production finished
Closed	Accounting finalized
Cancelled	Stopped

Types of Work Orders

Standard Work Order

Non-Standard Work Order

Maintenance Work Order

Rework Work Order

Most common: **Standard Work Order**

Manufacturing (MAKE)

Work Order in Make-to-Order Flow

Customer Order

→ Demand Created

→ Work Order Generated

→ Manufacturing

→ Shipment

Manufacturing (MAKE)

Release - Release means authorizing the Work Order to start production.

When a Work Order is created, it is in **Unreleased status**.

After release, production activities can begin.

Status Flow

Unreleased → (Just created)

Released → (Ready for production)

Completed

Closed

What Happens When You Click Release?

When Work Order is Released:

Components become available for issue

Operations become executable

Manufacturing (MAKE)

Resources can be charged

WIP accounting starts

Material reservation happens (if enabled)

Before Release

Status: **Unreleased**

- Cannot issue material
- Cannot perform operation
- Cannot complete product
- Only planning stage

After Release

Status: **Released**

Now you can:

Manufacturing (MAKE)

- Issue components
- Execute operations
- Record labor & machine time
- Complete finished goods

Accounting Impact at Release

Important:

Normally, no accounting entry happens at release.

Accounting starts when:

- Material is issued
- Resources are charged
- Product is completed

Example

Work Order for 100 Laptops created.

Manufacturing (MAKE)

Status = Unreleased

Manager approves production → Clicks **Release**

Now:

- Production team starts assembly
- Inventory team issues components

Manufacturing (MAKE)

Complete - Complete means finishing the manufacturing process and moving the finished goods into inventory.

Simple meaning:

Production finished

Product ready in stock

Status Flow Reminder

Unreleased → Released → **Completed** → Closed

What Happens When You Complete a Work Order?

When you perform **Completion**:

Finished Goods move to Inventory

WIP balance reduces

On-hand quantity increases

Cost transferred from WIP to Inventory

Manufacturing (MAKE)

Example

Work Order: 100 Laptops

After production, you complete 100 quantity.

Now:

- 100 Laptops added to Finished Goods inventory
- WIP cleared for that quantity

Accounting Entry (Very Important 🔥)

At completion:

Dr Finished Goods Inventory

Cr WIP

So cost moves from WIP → Inventory.

Manufacturing (MAKE)

Partial Completion

You can complete in stages.

Example:

Work Order = 100

Complete today = 40

Remaining = 60

System allows multiple completions.

Backflush During Completion

If components are set as:

Assembly Pull (Backflush)

Then: Components automatically issued at completion time.

Manufacturing (MAKE)

Important Difference

Complete	Close
Production finished	Accounting finalized
FG moved to inventory	Variance calculated
Can still do adjustments	No more transactions allowed

Manufacturing (MAKE)

Close - Close means finalizing the Work Order and calculating any cost variance.

Simple meaning:

Production finished

All costs collected

Variance calculated

Work Order permanently closed

Status Flow

Unreleased

→ Released

→ Completed

→ **Closed**

Manufacturing (MAKE)

What Happens During Close?

When you close a Work Order:

System checks if all quantities are completed

System checks if all materials are issued

Calculates cost variance (Standard Costing)

Posts variance accounting entries

No further transactions allowed

Why Variance Happens?

In Standard Costing:

Standard Cost = ₹100 per unit

But actual cost collected in WIP = ₹110

Difference = ₹10 variance

When closing, system posts variances

Manufacturing (MAKE)

Types of Variance

Material Variance

Resource (Labor) Variance

Overhead Variance

Usage Variance

Complete vs Close

Complete	Close
FG moved to inventory	Work Order finalized
WIP reduced	Variance calculated
Can still adjust	No more changes allowed

Manufacturing (MAKE)

Manufacturing Accounting

Manufacturing Accounting – End-to-End Flow (Standard Costing)

Example

Manufacture 1 Laptop

Standard Cost Breakdown:

Material = ₹60

Labor = ₹25

Overhead = ₹15

Total Standard Cost = ₹100

Step-by-Step Manufacturing Accounting

Material Issue to Work Order

Manufacturing (MAKE)

When components are issued:

Dr WIP (60)

Cr Inventory (60)

Material cost moves from Inventory → WIP

Resource (Labor) Absorption

When labor is charged:

Dr WIP (25)

Cr Resource Absorption (25)

Overhead Absorption

Dr WIP (15)

Cr Overhead Absorption (15)

Manufacturing (MAKE)

Now WIP Total = ₹100

Material (60)

- Labor (25)
- Overhead (15) = ₹100

Work Order Completion

When finished good is completed:

Dr Finished Goods Inventory (100)
Cr WIP (100)

Cost moves from WIP → FG Inventory

Manufacturing (MAKE)

Work Order Close (Variance Check)

If actual cost = ₹110

Standard cost = ₹100

Variance = ₹10

Entry:

Dr Work Order Variance (10)

Cr WIP (10)

If Average Costing is Used

No variance entry at close.

Cost simply reflects actual accumulated cost.

Manufacturing (MAKE)

Full Accounting Flow Summary

Step	Debit	Credit
Material Issue	WIP	Inventory
Labor	WIP	Resource Absorption
Overhead	WIP	Overhead Absorption
Completion	FG Inventory	WIP
Close	Variance	WIP

Manufacturing (MAKE)

WIP (Work In Process) - WIP (Work In Process) represents the cost of products that are currently under production but not yet completed.

Simple meaning:

Material issued

Labor applied

Production started

Finished goods NOT yet completed

All this cost sits in **WIP account**.

Where WIP Appears?

In Financial Statements:

Balance Sheet

Under **Inventory / Current Assets**

Because product is not yet sold.

Manufacturing (MAKE)

WIP Flow in Manufacturing

Raw Material Inventory

↓ (Material Issue)

WIP

↓ (Completion)

Finished Goods

Example

Work Order: 1 Laptop

Material = ₹60

Labor = ₹25

Overhead = ₹15

Total = ₹100

Until completion, this ₹100 sits in: WIP Account

Manufacturing (MAKE)

WIP Accounting Entries

Material Issue

Labor Absorption

Overhead Absorption

Completion

WIP becomes zero (if fully completed).

Types of WIP

Discrete WIP - Used in discrete manufacturing

Example: Laptop, Car

Process WIP - Used in process manufacturing

Example: Chemical, Paint

Manufacturing (MAKE)

WIP Under Standard Costing

System compares:

Standard Cost vs Actual Cost

Difference posted as: WIP Variance

WIP Account Contains

- Material Cost
- Labor Cost
- Overhead Cost
- Variance (if any)

Manufacturing (MAKE)

Variances - Variance is the difference between Standard Cost and Actual Cost.

Variance = Actual Cost – Standard Cost

If:

- Actual > Standard → Unfavorable Variance
- Actual < Standard → Favorable Variance

Simple Example

Standard Cost (per Laptop) = ₹100

Actual Cost Collected in WIP = ₹110

Variance = ₹10 (Unfavorable)

Manufacturing (MAKE)

Where Variance Occurs?

Variances can happen during:

- Material purchase
- Material usage
- Labor usage
- Overhead absorption
- Work Order completion

Types of Variances in Manufacturing

1 Purchase Price Variance (PPV)

Occurs when:

PO Price $\neq$ Standard Cost

Manufacturing (MAKE)

Material Usage Variance

Occurs when: Actual quantity used $\neq$ BOM quantity

Resource (Labor) Variance

Occurs when: Actual labor time $\neq$ Standard time

Overhead Variance

Occurs when: Actual overhead cost $\neq$ Applied overhead

Work Order Variance (At Close)

Final difference between: Total Standard Cost vs Total Actual Cost

Posted when Work Order is Closed.

Manufacturing (MAKE)

Variance Accounting at Close

Variance Summary Table

Variance Type	When Occurs	Reason
PPV	At PO Receipt	Price difference
Material Usage	During Issue	Extra consumption
Resource Variance	During Operation	Extra labor/machine time
Overhead Variance	During absorption	Rate difference
WO Variance	At Close	Total cost mismatch

Manufacturing (MAKE)

Why Variance is Important?

- Cost control
- Performance analysis
- Budget monitoring
- Audit reporting
- Manufacturing efficiency tracking

Manufacturing (MAKE)

Cost Rollup - Cost Rollup is the process of calculating the total standard cost of a finished product based on its BOM and Routing.

Simple meaning:

System calculates product cost automatically from:

- Component costs
- Resource costs
- Overhead costs

Example

Manufacturing 1 Laptop

Components (From BOM)

Manufacturing (MAKE)

Component	Qty	Std Cost	Total
Motherboard	1	₹40	₹40
RAM	2	₹10	₹20
Battery	1	₹15	₹15

Material Cost = ₹75

Routing (Operations)

Resource	Time	Rate	Cost
Labor	2 hrs	₹5/hr	₹10
Machine	1 hr	₹5/hr	₹5

Operation Cost = ₹15

Manufacturing (MAKE)

Total Standard Cost

Material (75)

Resource (15) = ₹90

Standard Cost of Laptop = ₹90

This calculation process is called **Cost Rollup**.

Why Cost Rollup is Needed?

When:

- New product created
- BOM updated
- Routing changed
- Resource rate changed
- New financial year starts

We must run cost rollup to update standard cost.

Manufacturing (MAKE)

Where to Run Cost Rollup?

Navigation:

Cost Management

- Manage Cost Scenarios
- Create Cost Scenario
- Run Cost Rollup
- Publish Costs

Cost Rollup Process Steps

Create Cost Scenario

Select Organization

Select Items

Run Rollup

Review cost breakdown

Publish Standard Cost

Manufacturing (MAKE)

Cost Breakdown Levels

Cost Rollup calculates:

- Material Cost
- Resource Cost
- Overhead Cost
- Outside Processing Cost (if any)

Multi-Level Rollup

If BOM has subassemblies:

Laptop

→ Motherboard

→ Chipset

→ Processor

System rolls up from lowest level to top level.

This is called **Bottom-up calculation**.

Manufacturing (MAKE)

Important

Cost Rollup is used in:

Standard Costing only

In Average Costing, rollup is not required.

What Happens After Publishing?

- Standard Cost updated
- Future transactions use new cost
- Variance comparison uses new standard

Order Management (SELL)

17. Order-to-Cash Flow

- Sales order
- Pick
- Ship
- Invoice
- Revenue

Accounting

- Shipment → COGS
- Invoice → AR

Order Management (SELL)

Order-to-Cash (O2C) - Order-to-Cash is the complete business process from receiving a customer order to collecting payment.

Simple meaning:

Sell Product → Deliver → Invoice → Receive Money

End-to-End O2C Flow in Oracle Fusion

Customer Creation

Navigation: Receivables → Manage Customers

Customer must have:

- Bill-to Site
- Ship-to Site
- Payment Terms
- Tax setup

Order Management (SELL)

Sales Order Creation (Order Management)

Navigation: Order Management → Create Order

Enter:

- Customer
- Item
- Quantity
- Price
- Warehouse

Status: Entered

Order Scheduling & Reservation

System checks:

- Inventory availability (ATP)
- Reserves stock
- Promises delivery date

Order Management (SELL)

Pick, Pack & Ship (Inventory)

Warehouse performs:

- Pick Release
- Confirm Shipment

Inventory reduced

Cost moved to expense

Invoice Generation (Receivables)

After shipment:

System creates AR Invoice.

Revenue recognized

Customer balance created

Order Management (SELL)

Customer Payment

Customer pays invoice.

Accounting:

Dr Cash

Cr Accounts Receivable

AR cleared

Cash increased

O2C Modules Involved

- Order Management (OM)
- Inventory
- Shipping
- Receivables (AR)
- Cash Management
- General Ledger (GL)

Order Management (SELL)

Full Accounting Flow Summary

Step	Debit	Credit
Shipment	COGS	Inventory
Invoice	AR	Revenue
Payment	Cash	AR

If Manufacturing Required (Make-to-Order)

Flow becomes:

Sales Order

→ Work Order

→ Production

→ Completion

→ Shipment

→ Invoice

Order Management (SELL)

→ Payment

So O2C integrates with Manufacturing.

Order Management (SELL)

Sales order - A Sales Order is a document created to record a customer's request to purchase goods or services.

Simple meaning:

Customer wants to buy → We create Sales Order

Where to Create?

Navigation: Order Management → Create Order

Sales Order Contains

- Customer Name
- Bill-To Address
- Ship-To Address
- Item
- Quantity
- Price

Order Management (SELL)

- Warehouse
- Payment Terms
- Requested Delivery Date

Sales Order Lifecycle

1 Create Order

Status: Entered

No accounting impact yet.

2 Submit Order

System:

- Validates customer
- Checks pricing
- Checks credit

Order Management (SELL)

- Runs availability check (ATP)

Status: Booked / Scheduled

Reservation

System reserves inventory in warehouse.

Still no accounting entry.

Pick Release

Warehouse picks items.

Still no accounting entry.

Shipment Confirmation

Invoice Generation (AR)

Order Management (SELL)

Payment

Sales Order Statuses

Status	Meaning
Draft	Not submitted
Submitted	Validated
Scheduled	Promised date assigned
Awaiting Shipping	Ready for pick
Shipped	Delivered
Closed	Fully invoiced

Order Management (SELL)

Types of Sales Orders

Standard Order

Return Order

Internal Transfer Order

Drop Ship Order

Back-to-Back Order

Most common: **Standard Sales Order**

Make-to-Order Scenario

If item not available:

Sales Order

→ Supply request

→ Work Order created

→ Manufacturing

→ Shipment

Order Management (SELL)

Pick - Pick is the process of physically selecting items from warehouse inventory to fulfill a sales order.

Simple meaning:

Customer ordered item

Warehouse worker goes to shelf

Picks the product

That is **Picking**.

Where Pick Happens in O2C?

Flow:

Sales Order

→ Reservation

→ **Pick Release**

→ Pick Confirm

Order Management (SELL)

→ Ship Confirm

→ Invoice

Pick Process Steps

Pick Release

System generates:

- Pick Slip
- Move Order
- Allocates inventory

Status changes to:

Ready to Pick

No accounting entry yet.

Order Management (SELL)

Pick Confirm

Warehouse confirms:

- ✓ Quantity picked
- ✓ From which Subinventory
- ✓ From which Locator

Inventory is moved from:

Stores → Staging Area

Still no accounting impact.

What Happens in System?

Inventory Status changes:

From: Available

To: Staged

Order Management (SELL)

But ownership is still company inventory.

When Does Accounting Happen?

NOT during Pick

NOT during Pick Confirm

Accounting happens only at:

Ship Confirm

After Ship Confirm - Now inventory officially leaves warehouse.

Example

Customer orders 10 Laptops.

System:

- Reserves 10 units
- Pick Release created

Order Management (SELL)

- Warehouse picks 10 units
- Items moved to staging

After shipping:

Inventory reduced
COGS recorded

Pick vs Ship

Pick	Ship
Physical selection	Goods leave warehouse
Moves to staging	Ownership transferred
No accounting	Accounting happens
Warehouse activity	Financial activity

Order Management (SELL)

Ship - Ship Confirm is the process of confirming that goods have physically left the warehouse and are shipped to the customer.

Simple meaning:

Goods left warehouse
Ownership transferred
Financial impact starts

Where Ship Happens in Flow?

Sales Order

- Reservation
- Pick Release
- Pick Confirm
- **Ship Confirm**
- Invoice
- Payment

Order Management (SELL)

What Happens During Ship Confirm?

When you confirm shipment:

Inventory quantity reduces

Ownership transfers to customer

COGS recorded

Order line status updated

Accounting Entry at Ship Confirm

Explanation:

- Inventory decreases
- Expense (COGS) increases

Example

Customer orders 10 Laptops

Order Management (SELL)

Cost per Laptop = ₹100

At Shipment:

Dr COGS (1000)

Cr Finished Goods Inventory (1000)

Inventory reduced by ₹1000.

Why Accounting Happens at Ship?

Because: Revenue recognition principle (for most companies):

Revenue is recognized when control transfers

Control transfers at shipment

Order Management (SELL)

What Does NOT Happen at Ship?

Revenue is NOT recorded

AR is NOT created

Revenue is created only when Invoice is generated.

Ship vs Invoice

Ship Confirm	Invoice
Reduces inventory	Creates revenue
Records COGS	Creates AR
Physical movement	Financial billing

Order Management (SELL)

Invoice - Invoice is the document sent to the customer requesting payment for shipped goods.

In Oracle Fusion:

Shipping → Creates Delivery

Delivery → Creates AR Invoice

Where Invoice Happens in O2C?

Sales Order

→ Pick

→ Ship Confirm (COGS)

→ **AutoInvoice / Create AR Invoice**

→ Payment

Order Management (SELL)

What Happens During Invoice?

When invoice is created:

Revenue is recognized

Accounts Receivable is created

Tax calculated

Customer balance updated

Financial Impact

Account	Impact
Inventory	Already reduced at Ship
COGS	Already recorded at Ship
Revenue	Recorded now
AR	Created now

Order Management (SELL)

Revenue - Revenue is the income earned from selling goods or services.

In O2C: Revenue is recognized at the time of **Invoice** (normally).

Revenue in Accounting

Revenue increases Profit.

Revenue vs COGS

Revenue	COGS
Income	Expense
Recognized at Invoice	Recognized at Shipment
Increases profit	Reduces profit

Order Management (SELL)

Example

Customer orders:

10 Laptops

Cost Price = ₹50,000

Selling Price = ₹70,000

At Shipment

Dr COGS 5,00,000

Cr Inventory 5,00,000

At Invoice

Dr AR 7,00,000

Cr Revenue 7,00,000

Order Management (SELL)

Profit Calculation

Revenue = 7,00,000

COGS = 5,00,000

Profit = 2,00,000

Types of Revenue in Oracle Fusion

Immediate Revenue → Recognized fully at invoice

Deferred Revenue → Recognized over time

Important Concept: Revenue Recognition Rule

Oracle allows:

- Recognize immediately
- Recognize daily
- Recognize monthly

Order Management (SELL)

- Recognize based on service period

Used in:

- Subscription
- AMC
- SaaS
- Service contracts

Revenue in Financial Statement

Revenue appears in: Income Statement (P&L)

Not in Balance Sheet (except deferred revenue)

Order Management (SELL)

Shipment Accounting

When goods are shipped:

What happens?

- Inventory decreases
- COGS increases

Invoice Accounting

When invoice is created:

What happens?

- Revenue recognized
- Accounts Receivable created

Order Management (SELL)

Complete Accounting Flow Example

Order:

Cost = ₹50,000

Selling Price = ₹70,000

♦ At Shipment

Dr COGS 50,000

Cr Inventory 50,000

♦ At Invoice

Dr AR 70,000

Cr Revenue 70,000

Order Management (SELL)

Profit

Revenue = 70,000

COGS = 50,000

Profit = 20,000

Simple Memory Trick

Shipment → Expense (COGS)

Invoice → Income (Revenue)

Payment → Cash

Planning & Logistics

Supply Chain Planning

- Demand forecasting
- Supply planning
- S&OP

Logistics

- Shipping
- Transportation

Supply Chain Planning - Supply Chain Planning ensures the right product is available at the right place, at the right time, in the right quantity.

It answers:

- How much to buy?
- When to produce?
- When to transfer?
- How to meet demand?

Planning & Logistics

Why Planning is Needed?

Without planning:

Stockouts

Excess inventory

Production delays

Late deliveries

Planning balances:

Demand ↔ Supply

Modules in Oracle Fusion Supply Chain Planning

Oracle Fusion SCP includes:

Demand Management

Supply Planning

Replenishment Planning

Planning & Logistics

Sales & Operations Planning (S&OP)

Inventory Optimization

Global Order Promising (GOP)

Demand Management

Forecasts future demand.

Example:

Last 6 months sales = 1000 units/month

System predicts future demand.

Used when:

- No confirmed sales order yet
- Based on historical data

Planning & Logistics

Supply Planning

Core engine 🔥

It generates:

- Planned Purchase Orders
- Planned Work Orders
- Planned Transfer Orders

It checks:

Current On-hand

- Open Supply
 - Demand
 - = Net Requirement

Planning & Logistics

Example

Demand = 500 units

On-hand = 200

Open PO = 100

Net Requirement:

$$500 - (200 + 100) = 200$$

System suggests: Create PO for 200 units

Replenishment Planning

Used for:

- Min-Max planning
- Kanban
- Safety stock

Planning & Logistics

Example:

Min level = 100

Max level = 500

Current stock = 80

System creates replenishment order.

S&OP (Sales & Operations Planning)

High-level strategic planning:

- Monthly demand review
- Capacity planning
- Budget alignment

Used by:

Top management

Planning & Logistics

Global Order Promising (GOP)

When customer orders:

System checks:

- Inventory availability
- Production capacity
- Transfer options

Then gives:

Promise Date

Planning Flow (End-to-End)

Forecast

- Sales Order
- Planning Run
- System generates planned supply

Planning & Logistics

→ Convert planned to actual PO / WO

→ Execution

Key Planning Terms

Term	Meaning
Forecast	Predicted demand
Planned Order	Suggested supply
Firmed Order	Confirmed supply
Safety Stock	Buffer stock
Lead Time	Time to procure/produce

Planning & Logistics

→ Convert planned to actual PO / WO

→ Execution

Key Planning Terms

Term	Meaning
Forecast	Predicted demand
Planned Order	Suggested supply
Firmed Order	Confirmed supply
Safety Stock	Buffer stock
Lead Time	Time to procure/produce

Planning & Logistics

Demand forecasting - Demand Forecasting is the process of predicting future customer demand based on historical data and trends.

Simple meaning:

Past Sales → Analyze → Predict Future Sales

Why Demand Forecasting is Important?

Without forecasting:

Stockouts

Excess inventory

Wrong production planning

Cash flow issues

With forecasting:

Better inventory control

Improved customer service

Planning & Logistics

Optimized production

Where It Fits in Oracle Fusion

Demand Forecast

- Supply Planning
- Planned PO / Work Order
- Execution

Forecast drives the planning engine.

Types of Demand in Planning

① Independent Demand

- Finished goods (customer driven)

② Dependent Demand

- Components (calculated from BOM)

Planning & Logistics

Example:

Forecast for Laptop = 100

System calculates:

Keyboard = 100

Screen = 100

Motherboard = 100

Forecasting Methods

Oracle uses statistical models like:

Moving Average

Average of last few periods.

Example: Last 3 months sales: 100, 120, 110

Forecast = $(100 + 120 + 110) / 3 = 110$

Planning & Logistics

Exponential Smoothing

Gives more weight to recent data.

Used when: Sales trend is stable.

Trend-Based Forecast

Used when demand is increasing or decreasing.

Example: $100 \rightarrow 120 \rightarrow 150 \rightarrow 180$

System identifies upward trend.

Seasonal Forecast

Used when demand varies by season.

Example: AC sales high in summer

Low in winter

Planning & Logistics

Example Scenario

Historical Sales (Months):

Jan – 100

Feb – 110

Mar – 120

Apr – 130

System predicts May = 140 (trend growth)

Planning & Logistics

Supply planning - Supply Planning determines how to meet demand by generating planned purchase orders, work orders, or transfer orders.

It answers:

- What to buy?
- What to produce?
- When to transfer?
- How much quantity?

Supply Planning Flow

Demand (Forecast + Sales Orders)



Check Current Supply

(On-hand + Open PO + Open WO)



Net Requirement Calculation



Generate Planned Orders

Planning & Logistics

Net Requirement Formula

$$\text{Net Requirement} = \text{Demand} - (\text{On-hand} + \text{Open Supply})$$

Example

Demand = 500 units

On-hand = 200

Open PO = 100

Net Requirement:

$$500 - (200 + 100) = 200$$

System Suggestion:

👉 Planned Purchase Order for 200 units

Planning & Logistics

What Supply Planning Generates

Planned Purchase Orders

Planned Work Orders

Planned Transfer Orders

Reschedule Suggestions

Cancel Suggestions



Important:

Planning creates planned orders — not actual POs.

User converts them into real transactions.

Types of Supply Planning in Oracle Fusion

Constrained Planning

Considers: Capacity limits / Supplier constraints / Resource availability

Planning & Logistics

Unconstrained Planning

Assumes unlimited capacity.

Used for simulation.

What Planning Considers

- Lead Time
- Safety Stock
- Lot Size
- Min-Max rules
- Capacity
- Calendars

Planning & Logistics

Example with Lead Time

Demand Date = 30th March

Supplier Lead Time = 10 days

System creates PO suggestion on:
20th March

Planning Run Steps in Oracle Fusion

Data Collection

Run Planning

Review Output

Release Planned Orders

Planning & Logistics

Planning Output Example

Item	Demand	Supply	Action
Laptop	500	300	Create 200 PO
Keyboard	1000	1200	No action
Mouse	300	100	Create 200 WO

Planning & Logistics

S&OP - Sales and Operations Planning (S&OP) is a monthly process that aligns sales, production, inventory, and finance to create one unified business plan.

Simple meaning:

Sales Team + Operations Team + Finance Team

→ Work together

→ Create one plan

Why S&OP is Important?

Without S&OP:

- ✗ Sales promises too much
- ✗ Production cannot deliver
- ✗ Inventory imbalance
- ✗ Financial targets missed

Planning & Logistics

With S&OP:

- ✓ Demand & supply alignment
- ✓ Capacity planning
- ✓ Revenue forecasting
- ✓ Profit planning

Where S&OP Fits

Strategic Level (Monthly/Quarterly)

Then below that:

Demand Planning

Supply Planning

Execution

Planning & Logistics

S&OP Process Cycle (Monthly)

Data Gathering

- Sales history
- Forecast
- Inventory
- Capacity

Demand Review

- Review forecast
- Adjust numbers

Supply Review

- Check production capacity
- Check supplier constraints

Planning & Logistics

Financial Review

- Revenue target
- Cost target
- Profit margin

Executive Meeting

- Final approval

Example Scenario

Forecast next month:

Product A = 10,000 units

Production capacity = 8,000

Gap = 2,000

Planning & Logistics

Options:

- Increase capacity
- Outsource
- Reduce forecast
- Increase price

Decision made in S&OP meeting.

S&OP vs Supply Planning

S&OP	Supply Planning
Strategic	Operational
Monthly	Weekly/Daily
Product family level	Item level
High-level capacity	Detailed execution

Planning & Logistics

Logistics - Logistics is the process of planning, executing, and controlling the movement and storage of goods from origin to destination.

Simple meaning:

Right product

Right place

Right time

Right cost

Types of Logistics

Inbound Logistics

Movement of goods from Supplier → Warehouse

Planning & Logistics

Example:

Supplier ships raw material
→ Receive in warehouse

Related modules:

- Purchasing
- Receiving
- Inventory

Outbound Logistics

Movement of goods from Warehouse → Customer

Example:

Pick

Pack

Ship

Deliver

Planning & Logistics

Related modules:

- Order Management
- Shipping
- AR

Internal Logistics

Movement inside company:

- Warehouse transfer
- Sub-inventory transfer
- Organization transfer

Outbound Logistics Flow (O2C)

Sales Order

→ Pick Release

→ Pick Confirm

Planning & Logistics

- Ship Confirm
- Invoice
- Delivery

Inbound Logistics Flow (P2P)

Requisition

- Purchase Order
- Supplier Shipment
- Receipt
- Inspection
- Put Away
- Invoice

Warehouse Activities

- Put Away
- Picking
- Packing

Planning & Logistics

- Shipping
- Cycle Counting

Logistics Cost Components

- Transportation cost
- Warehousing cost
- Handling cost
- Packaging cost
- Insurance

Transportation Management (Advanced)

Oracle OTM handles:

- Route optimization
- Freight cost calculation
- Carrier selection
- Shipment tracking

Planning & Logistics

Logistics KPIs

- On-time delivery
- Inventory turnover
- Order fulfillment rate
- Transportation cost %
- Warehouse accuracy

Planning & Logistics

Shipping - Shipping is the process of dispatching goods from warehouse to customer after sales order fulfillment.

Simple meaning:

Pick → Pack → Ship → Deliver

Where Shipping Fits in O2C

Sales Order

- Reservation
- Pick Release
- Pick Confirm
- **Ship Confirm**
- Invoice
- Payment

Planning & Logistics

Shipping Process in Oracle Fusion

Pick Release - System generates picking task.

Pick Confirm - Warehouse confirms items picked.

Pack (Optional) - Items packed into cartons/containers.

Ship Confirm - Final confirmation that goods left warehouse.

🔥 Accounting triggered here.

Accounting at Ship Confirm

Inventory decreases

Expense increases

Planning & Logistics

Shipping Documents Generated

- Delivery Document
- Packing Slip
- Bill of Lading (BOL)
- Shipping Label

Key Shipping Concepts

Delivery - Group of shipment lines for transportation.

Shipment Lines - Individual item lines inside delivery.

Shipping Method

Planning & Logistics

Example:

- Road
- Air
- Sea

4 Freight Terms

Example:

- FOB
- CIF

Example Scenario

Customer orders 10 laptops.

Warehouse:

Pick → Confirm → Pack → Ship Confirm

Planning & Logistics

System:

Inventory reduced

COGS recorded

Delivery status = Shipped

Then:

Invoice can be created.

Ship vs Invoice

Ship	Invoice
Physical movement	Financial document
Records COGS	Records Revenue
Reduces inventory	Creates AR

Planning & Logistics

Transportation - Transportation is the process of moving goods from one location to another using different modes and carriers.

Simple meaning:

Warehouse → Customer

Supplier → Warehouse

Plant → Distribution Center

Types of Transportation

Inbound Transportation - Supplier → Company warehouse

Outbound Transportation - Company warehouse → Customer

Inter-Organization Transfer - Plant A → Plant B

Planning & Logistics

Modes of Transport

- Road
- Rail
- Air
- Sea
- Courier

Transportation in Oracle Fusion

Basic shipping handles dispatch.

Advanced Transportation handled by:

 **Oracle Transportation Management (OTM)**

OTM manages:

- Carrier selection
- Route planning

Planning & Logistics

- Freight cost calculation
- Shipment tracking
- Freight settlement

Transportation Process Flow

Order / Delivery Created



Transportation Planning



Assign Carrier



Shipment Creation



Dispatch



Delivery Confirmation

Planning & Logistics

Example Scenario

Customer order: 1,000 units

System checks:

- Destination
- Delivery date
- Weight & volume
- Shipping method

OTM decides:

Carrier: BlueDart

Mode: Road

Cost: ₹25,000

Integration with Financials

Understand:

- **Inventory accounting**
- **WIP accounting**
- **COGS**
- **Revenue**

Inventory accounting - Inventory Accounting records the financial impact of all inventory transactions.

Every material movement

→ Creates accounting entry

→ Goes to Subledger

→ Posted to GL

Integration with Financials

Inventory Transactions That Create Accounting

PO Receipt

Sales Shipment

Miscellaneous Issue

Miscellaneous Receipt

Sub-inventory Transfer (sometimes no accounting)

Inter-organization Transfer

Work Order Completion

Cycle Count Adjustment

Inventory Valuation Methods

Standard Cost

Average Cost

FIFO

Actual Cost (Manufacturing)

Cost method determines accounting value.

Integration with Financials

Inventory Accounting Flow

Inventory Transaction

- Cost Management
- Create Accounting (SLA)
- Transfer to GL

Financial Impact Areas

Transaction	Affects
Receipt	Asset increase
Shipment	Asset decrease + Expense
Issue	Expense
Transfer	Asset reclassification
Adjustment	Gain/Loss

Integration with Financials

WIP Accounting - WIP (Work In Process) represents the cost of materials, labor, and overhead for items that are under production but not yet completed.

Simple meaning:

Raw Material issued

→ Production started

→ Not finished yet

= WIP Asset

WIP is What Type of Account?

WIP = Asset (Balance Sheet)

Until production completes, cost stays in WIP

.

Integration with Financials

WIP Accounting Flow in Oracle Fusion

Material Issue to Work Order

When raw material is issued to Work Order:

Dr WIP

Cr Raw Material Inventory

Inventory decreases

WIP increases

Resource Charges (Labor / Machine)

When labor or machine time is charged:

Dr WIP

Cr Resource Absorption Account

WIP increases

Integration with Financials

Overhead Absorption

System applies overhead:

Dr WIP

Cr Overhead Absorption

Now WIP Contains:

Material Cost

- Labor Cost
- Overhead = Total Production Cost

Work Order Completion

When finished goods completed:

Integration with Financials

Dr Finished Goods Inventory

Cr WIP

WIP cleared

FG inventory increased

Example

Produce 100 units

Material = ₹50,000

Labor = ₹20,000

Overhead = ₹10,000

Total WIP = ₹80,000

Integration with Financials

Work Order Close & Variances

If actual cost $\neq$ standard cost
Variance generated.

Example:

Standard cost = ₹75,000

Actual cost = ₹80,000

Variance = ₹5,000

Types of Variances

- Material Variance
- Resource Variance
- Overhead Variance
- Efficiency Variance

Integration with Financials

WIP Status Accounting

Stage	Accounting
Issue Material	WIP increases
Charge Labor	WIP increases
Apply Overhead	WIP increases
Complete WO	WIP decreases
Close WO	Variance posted

Integration with Financials

COGS - COGS (Cost of Goods Sold) is the cost of inventory that has been sold to customers.

Simple meaning:

When you sell product → its cost becomes expense.

Where COGS Appears?

COGS is:

Expense

Shown in Profit & Loss (P&L)

Formula:

$$\text{Profit} = \text{Revenue} - \text{COGS}$$

Integration with Financials

When is COGS Created in Oracle Fusion?

COGS is triggered at:

👉 Ship Confirm (for physical goods)

Not at invoice.

COGS Accounting Entry

At Shipment:

Dr COGS

Cr Finished Goods Inventory

Inventory decreases

Expense increases

Integration with Financials

Example

You sell 1 Laptop.

Cost = ₹40,000

Selling price = ₹50,000

At Ship Confirm:

Dr COGS 40,000

Cr Inventory 40,000

At Invoice:

Dr Accounts Receivable 50,000

Cr Revenue 50,000

Profit: $50,000 - 40,000 = 10,000$

Integration with Financials

Important Concept

Inventory is:

👉 Asset (before sale)

After shipping:

👉 Becomes Expense (COGS)

Flow from Manufacturing to COGS

Material Issue → WIP

Work Order Completion → FG Inventory

Ship Confirm → COGS

Integration with Financials

Deferred COGS (Advanced Concept)

In some setups:

COGS is deferred until invoice.

At shipment:

Dr Deferred COGS

Cr Inventory

At invoice:

Dr COGS

Cr Deferred COGS

Used when revenue recognition timing differs.

Integration with Financials

COGS in Different Cost Methods

Standard Cost

COGS = Standard Cost

Average Cost

COGS = Moving average cost

Actual Cost

COGS = Actual production cost

COGS Components

- Material cost
- Labor cost
- Overhead
- Freight (if included)

Integration with Financials

Revenue - Revenue is the income earned when goods or services are sold to customers.

Simple meaning:

Sell product → Generate revenue.

Where Revenue Appears?

Revenue is shown in:



Profit & Loss (P&L) Statement

Formula:

$$\text{Profit} = \text{Revenue} - \text{COGS} - \text{Expenses}$$

Integration with Financials

When is Revenue Recognized in Oracle Fusion?

For physical goods:

👉 Revenue is recognized at Invoice (not at shipment)

Important difference:

- Ship Confirm → COGS
- Invoice → Revenue

Revenue Accounting Entry

At Invoice:

Dr Accounts Receivable

Cr Revenue

Customer now owes money.

Integration with Financials

Example

Laptop selling price = ₹50,000

Cost = ₹40,000

At Shipment:

Dr COGS 40,000

Cr Inventory 40,000

At Invoice:

Dr AR 50,000

Cr Revenue 50,000

Profit:

$50,000 - 40,000 = 10,000$

Integration with Financials

Revenue vs COGS Timing

Event	Accounting Impact
Ship Confirm	COGS recorded
Invoice	Revenue recorded

Revenue Recognition Rules

Revenue can depend on:

- Shipment date
- Invoice date
- Delivery date
- Contract terms

Handled through:

Integration with Financials

Types of Revenue

Product Revenue

Service Revenue

Subscription Revenue

Project Revenue

Revenue Accounts in Oracle

Configured under:

- AutoAccounting (AR)
- SLA (Subledger Accounting)
- Item Revenue Account